



Enforcement Rules of Market Oversight Regulation

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of these Enforcement Rules is to stipulate the matters necessary for the enforcement of the Market Oversight Regulation. (Amended on March 18, 2020)

§2. Definitions

The terms used in these Enforcement Rules shall have the same meanings given to them in the Market Oversight Regulation (hereinafter referred to as “the Regulation”). (Amended on March 18, 2020)

CHAPTER II. MAINTENANCE OF MARKET RELIABILITY

§2-2. Selection of Members subject to Request for Preventative Measures, etc. and Method Thereof

(1) Pursuant to [§5(4)] of the Regulation, the Market Oversight Commission (hereinafter referred to as “the Commission”) may request the members who are implicated to the accounts falling under the criteria that the Chairperson of the Commission (hereinafter referred to as “the Chairperson”) separately determines to provide guidance for reliable order during the market hours and take the preventative measures. In this case, if the accounts fall under any⁷ of the following subparagraphs, the Commission may request preventative measure severer than the prior notification of the refusal of order receipt. (Amended on March 8, 2012; July 31, 2014; November 23, 2022; February 8, 2023)

1. Case of receiving the request for preventative measures by participating in an investment alert issue or an investment risk issue;
2. Case of receiving the request for preventative measures by participating in an issue with abnormally soaring price; and
3. Case of receiving the request for preventative measures because it is judged that there is a high possibility of falling under an unfair trading in view of such factors as the repetition of unsound trading pattern, past unsound trading history of the account, and excessive stock price volatility.

(2) Any member who was requested to provide guidance for reliable order or take preventative measures pursuant to paragraph (1) shall take the measures necessary for

the prevention of unfair trading, including reliable order guide during the market hours or alerting the relevant customer, prior notice on refusal of order entrustment, and refusing to accept the order entrustment as specified by the Commission.: (Amended on March 8, 2012; July 31, 2014; December 11, 2018; February 8, 2023)

1. [Deleted on February 8, 2023]

2. [Deleted on February 8, 2023]

3. [Deleted on February 8, 2023]

(3) Any member who receives the request to take preventative measures pursuant to paragraph (1) shall notify to the Commission the outcome of the action taken by the tenth day (if it is Saturday or a public holiday pursuant to the Rules on Holidays of Public Agencies, it shall be deferred to the next trading day) of the month following the closing month of each quarter.

[February 3, 2009]

§2-3. Informing of Investment Precaution

Pursuant to [§5(4)] of the Regulation, in the case of falling under any of the following subparagraphs, the Commission may inform the investors of the matters on investment precaution through such methods as posting it on its internet website, etc. in order to prevent any damage to investors:

1. Case where, due to any activity undermining the market order such as unfair trading, the damage to many inventors has occurred or is expected to occur; and
2. In addition, case where any event having a major impact on the capital market has taken place or is expected to take place.

[August 27, 2012]

§2-4. Consultation for Members

(1) Pursuant to [§5(4)] of the Regulation, the Commission may provide consultation services (hereinafter referred to as the “consultation”) for the members in order to support the prevention of unfair trading and compliance with regulations related to business (in the case of trading participants, it refers to the Regulation and the business standards of the relevant multilateral trading companies; hereinafter referred to as “business-related regulations) of Korea Exchange (hereinafter referred to as “the Exchange”) by the members. (Amended on February 27, 2025)

(2) The Commission may have prior discussions with the members on the target, period, method, scope of data collection, etc. with regard to the consultation.

(3) If deemed necessary, the Commission may request the members to submit data, materials, etc. for the consultation.

(4) When requesting members to submit data, etc. pursuant to paragraph (3), the Commission shall notify the reasons, types of data, submission deadline, etc. in writing.

[April 18, 2016]

§2-5. Procedures and Methods of Consultation for Members

(1) The consultation may be conducted in the cases that correspond to any of the following subparagraphs: (Amended on February 10, 2017; November 23, 2022)

1. When it is specified in the annual consultation plan set by the Commission;
2. When it was requested by a member; or
3. When the Chairperson deems it necessary for the maintenance of market order and the protection of investors.

(2) When requesting the consultation pursuant to paragraph (1)2, a member shall complete the written request for consultation in accordance with [Annex: Form 17] and submit it to the Exchange. In such cases, the Commission may reject the request if there is an investigation or inspection planned or being conducted, of which contents are the same as or similar to those of the consultation requested by the member.

(3) The consultation shall be carried out using such methods as on-site inspection by surveillance staff (limited to staff members in charge of inspection), in writing, or other means. In such cases, the Commission shall notify the member in advance in writing.

(4) Notwithstanding paragraph (3), in cases where it is deemed necessary for the efficiency, etc. of consultation, the Commission may implement the consultation at a different venue, such as the Commission, with the consent of the member.

(5) The necessary matters on the detailed procedures and methods of the consultation shall be determined by the Chairperson.

[April 18, 2016]

§2-6. Notification of Consultation Results, etc.

(1) When the consultation is completed, the Exchange shall notify the member of the report on consultation results which contains the matters necessary to support the prevention of unfair trading and compliance with business-related regulations by the member.

(2) In the case of falling under any of the following subparagraphs, the Commission may explain the results of the consultation to the officers in charge of the related tasks of the member:

1. Case where detailed explanation is necessary in order to facilitate the reflection of the contents of the consultation by the member; or
2. Case where the consultation was conducted at the request of the member.

(3) In cases where the results of the consultation reveal the facts applicable to the criteria for disciplinary actions under [§14(1)4 through 6] or the criteria for disciplinary measures under [§14(2)1 through 3], the Commission may notify the relevant member of the matters requiring correction that state the details of violations, required rectifications and the deadline for the notification of the result of corrective actions.

(4) Notwithstanding paragraph (3), if the consultation reveals that a member is found to correspond to any of the following subparagraphs, the Commission may conduct inspections pursuant to [§16] of the Regulation: (Amended on September 7, 2018)

1. Case where the significance of the cause of violation noted in the criteria for disciplinary measures under subparagraphs 1 through 3 of [§14(1)] or the guidelines for the imposition of member fine in [Annex 1] was found to be ‘High’;
2. Case where the member has not rectified the matters requiring correction until the deadline for notification of correction results under paragraph (3); and
3. Case where the Commission deems the action to be against investor protection or market soundness.

[April 18, 2016]

§2-7. Consultation Advisory Committee

(1) The Commission may establish a consultation advisory committee comprised of experts, etc., to provide consultation services for the members.

(2) The details for organizing and operating of the consultation advisory committee shall be determined by the Chairperson.

[April 18, 2016]

§2-8. Training for Stock-listed Corporations

(1) Pursuant to [§5(4)] of the Regulation, the Commission may provide training sessions for prevention of unfair trading (hereinafter referred to as the “training”) targeting stock-listed corporations in order to support them with the prevention of unfair trading practices and the compliance with work-related regulations.

(2) The Commission may have prior discussions with stock-listed corporations on the target, subjects, time and methods, etc. with regard to the training.

[May 31, 2016]

§2-9. Procedures and Methods of Training for Stock-listed Corporations

(1) The training may be conducted in the cases that correspond to any of the following subparagraphs:

1. When it is specified in the annual training plan set by the Commission;
2. When it was requested by a stock-listed corporation; or
3. When the Chairperson deems it necessary for the maintenance of fair trading practices and for the protection of investors.

(2) When requesting for the training pursuant to paragraph (1)2, a stock-listed corporation shall submit a written request for prevention training completed in accordance with [Annex: Form 18] to the Exchange.

(3) The training may be conducted by such methods as in-house training determined by the Exchange, on-site training by surveillance staff, and online training provided by the Commission, etc.

(4) The necessary matters on the detailed procedures and methods of the training shall be determined by the Chairperson.

[May 31, 2016]

§2-10. Consultation on Compliance for Stock-listed Corporations

(1) Pursuant to [§5(4)] of the Regulation, the Commission may provide consultation services on compliance (hereinafter referred to as the “compliance consultation”) for the stock-listed corporations in order to support the prevention of unfair trade practices.

(2) The matters necessary with respect to the provision of the compliance consultation noted in paragraph (1) shall be determined by the Chairperson.

[February 10, 2017]

§2-11. Operation of Registration System for Executives and Employees of Stock-listed Corporations

(1) Pursuant to [§5(4)] of the Regulation, in order to support listed corporations' preventative actions against unfair trading practices, the Commission may operate a system (hereinafter referred to as the "registration system for executives/employees of listed corporations") that registers personal information such as name, date of birth, account number, etc. of executive officers and employees (including major shareholders) of a listed corporation, and, when such registered executive officers and/or employees trade the stocks of the relevant listed corporation (including its affiliated companies), notifies such fact to the relevant listed corporation.

(2) When a stock-listed corporation wishes to use the registration system for executives/employees of listed corporations, it shall submit an application for use of services for executives/employees registration and trade notification completed in accordance with [Annex: Form No. 19] with the consent of the executive officer or employee who is the owner of the relevant personal information.

(3) The matters necessary with respect to the operation of the registration system for executives/employees of listed corporations shall be determined by the Chairperson.

[December 11, 2018]

§3. Designation of Investment Caution Issues, etc.

(1) "Securities which are specified in the Enforcement Rules" in [§5-2(1)] of the Regulation shall refer to the securities depository receipts (DRs) and equity linked warrants (ELWs). [February 3, 2009] (Amended on March 8, 2012; October 5, 2012; October 31, 2014; February 2, 2018)

(2) "Issues traded intensively by a few branch offices" noted in [§5-2(1)] of the Regulation shall refer to issues falling under any of the following subparagraphs during the most recent three (3) days and they shall be designated as investment caution issue during the next one (1) trading day and such fact shall be made public: (Amended on November 27, 2009; February 11, 2011; March 8, 2012; February 2, 2018; March 18, 2020; December 15, 2021)

1. [Deleted on December 15, 2021]

2. [Deleted on December 15, 2021]

3. In the case of ELWs, the issue falling under all of the following items. In such cases, in calculating the sale participation rate, the trading volume of liquidity provider shall be excluded from the trading volume of branch office and average daily trading volume.

- (a) Case where the price of ELW has increased;
- (b) Case where the purchase participation rate of one (1) branch office is 70% or higher or the purchase participation rate of five (5) branch offices is 90% or higher;
- (c) Case where the number of days when the branch office with the highest purchase participation rate participated in purchase is two (2) days or more; and
- (d) Case where the average daily trading volume is 100,000 shares or more.

4. In the case of ELWs, the issue falling under all of the following items. In such cases, the proviso to the latter part of [§3(2)3] excluding each item thereto shall apply.

- (a) Case where the price of ELW has declined;
- (b) Case where the sale participation rate of one (1) branch office is 70% or higher or the sale participation rate of five (5) branch offices is 90% or higher;
- (c) Case where the number of days when the branch office with highest sale participation rate participated in purchase is two (2) days or more; and
- (d) Case where the average daily trading volume is 100,000 shares or more.

(3) “Issues traded intensively through a few accounts” in [§5-2(1)2] of the Regulation shall refer to the issues falling under any of the following subparagraphs during the recent three (3) days and such issues shall be designated as investment caution issue for the next one (1) trading day and such fact shall be made public: (Amended on November 27, 2009; February 11, 2011; March 8, 2012; October 5, 2012; December 15, 2021; November 23, 2022)

1. In the case of stocks and DRs (hereinafter referred to as the “stocks, etc.”), the issue falling under all of the following items:

- (a) Case where the rate of stock price increase is 15% or higher. Provided that, in cases where the increase rate of the KOSPI Index (applying to KOSPI-listed issues; hereinafter the same shall apply in this Article) or the KOSDAQ Index (applying to KOSDAQ- or KONEX-listed issues; hereinafter the same shall apply in this Article) is 8% or higher for three (3) days, the rate of stock price increase shall be

25% or higher;

(b) Case where the purchase participation rate of accounts with top ten (10) highest purchase participation rates is 40% or higher;

(c) Case where the number of purchase participation days of at least five (5) accounts among accounts with top ten (10) highest purchase participation rates is two (2) days or more; and

(d) Case where the average daily trading volume is 30,000 shares or more.

2. In the case of stocks, etc., the issue falling under all of the following items:

(a) Case where the rate of stock price decline is at least 15%. Provided that, in cases where the decrease rate of the KOSPI Index or the KOSDAQ Index is 8% or higher for three (3) days, the rate of stock price decline shall be 25% or higher;

(b) Case where the sale participation rate of accounts with top ten (10) highest sale participation rates is 40% or higher;

(c) Case where the number of sale participation days of at least five (5) accounts among accounts with top ten (10) highest sale participation rate is two (2) days or more; and

(d) Case where the average daily trading volume is 30,000 shares or more.

3. In the case of ELWs, the issue falling under all of the following items. In such cases, in calculating the sale participation rates, the trading volume of liquidity provider shall be excluded from the trading volume of branch office and average daily trading volume.

(a) Case where the price of ELW has increased;

(b) Case where the purchase participation rate of accounts with top ten (10) highest purchase participation rate is 90% or higher;

(c) Case where the number of purchase participation days of at least five (5) accounts among accounts with top ten (10) highest purchase participation rate is two (2) or more; and

(d) Case where the average daily trading volume is 100,000 shares or more.

4. In the case of ELWs, issue falling under all of the following items:

(a) Case where the price of ELW has dropped;

(b) Case where the sale participation rate of accounts with top ten (10) highest sale participation rate is 90% or higher;

(c) Case where the number of sale participation days of at least five (5) accounts among accounts with top ten (10) highest sale participation rate is two (2) days or more; and

(d) Case where the average daily trading volume is 100,000 shares or more.

(4) The “issue specified in the Enforcement Rules” noted in [§5-2(1)3] of the Regulation shall refer to issue of stocks, etc., falling under any of the following subparagraphs. The Commission may designate such issue as an investment caution issue for one (1) day, the following trading day and make such fact public. (Amended on July 24, 2008; February 3, 2009; November 27, 2009; February 11, 2011; March 8, 2012; October 5, 2012; July 31, 2014; October 31, 2014; November 20, 2015; December 11, 2015; February 10, 2017; August 11, 2017; February 2, 2018; March 18, 2020; December 15, 2021; November 23, 2022)

1. An issue falling under all of the following items (hereinafter referred to as “the issue with volatile closing price”):

(a) Where the price established at the market closing time soared or plunged by 5% or more from the most recent price (excluding the case where the difference between the price established at the market closing time and the most recent price is the same as the quotation price unit); and

(b) Where the total trading volume of the day is 30,000 shares or more and the trading volume at the time of establishing the closing price is at least 5/100 of the total trading volume of the day. (Amended on February 27, 2025)

2. An issue with the largest residual quantity of quotation at the upper limit price: The issue with the unexecuted quantity of bid quotations at the upper limit price is 100,000 shares or more and the sum of unexecuted bid quotation quantities of accounts ranked at the top ten (10) in unexecuted quantity exceeds 90/100 of the total unexecuted at the closing time of regular session;

3. An issue falling under any of the following items (hereinafter referred to as the “issue with highest single account trading volume”):

(a) The net purchase volume of the day of a particular account is 2/100 or more of the number of shares issued and the price rose by 5% or more; and

(b) The net sales volume of particular account of the day is 2/100 or more of the number of shares issued and the price declined by 5% or more.

4. An issue of which stock prices increased for the most recent fifteen (15) days and

excessively purchased by a few accounts on the day: The issue of which stock price appreciated at the rate of 75% or higher in recent fifteen (15) days and the aggregated participation rate of the top 20 accounts in the purchasing volume on the 15th day is 30% or higher;

5. [Deleted on December 11, 2015]

6. An issue that falls under all of the following items during the recent 3 days (hereinafter referred to as the “issues traded intensively through particular accounts”):

(a) The rate of stock price increase is 15% or higher. Provided that, in cases where the increase rate of the KOSPI Index or the KOSDAQ Index is 8% or higher for three (3) days, the rate of stock price increase shall be 25% or higher;

(b) The number of days in which the purchase participation rate determined by the Chairperson is 5% or higher for two (2) or more days considering the impact on the market price of a particular account or a group of related accounts [hereinafter referred to as the “particular account (group)"] determined by the Chairperson; and

(c) The average daily trading volume is 30,000 shares or more.

7. An issue with excessive participation in rumors: An issue that was designated as the issue with excessive participation in rumors for three (3) or more times in the latest five (5) days because of the rumors, etc. of the same content. In such cases, the rumor-participating issue is designated by the Chairperson from among the issues falling under any of the followings considering the market situation, the contents of disclosure and the response of the listed corporation to the rumors, etc.

(a) An issue falling under all of the followings:

(i) Where the rumors, etc. (referred to as the "internet rumors, etc." hereinafter in this Subparagraph) posted on the bulletin boards of internet portals on the day, which are likely to undermine the fair trading practices, has increased by three (3) or more times compared to the average of the latest five (5) days, or where the number of inquiries on the internet rumors, etc. on the day has increased by three (3) or more times compared to the average of the latest one (1) month;

(ii) It shall fall under any of the following cases:

a) Where the closing price of the day is the upper limit price;

b) Where the closing price of the day is the highest in the latest twenty (20) days;

c) Where the stock price fluctuates by thirty (30) percent or more compared to the day's lowest price during the day and rises compared to the previous day;

d) Where the trading volume of the day has increased by three (3) times or more compared to the average daily volume in the latest five (5) days; or

e) Where the stock price rises to meet the criteria for requesting for inquired disclosure referred to in the main sentence of [§12(2)] of the KOSPI Market Disclosure Regulation or [§10(2)] of the KOSDAQ Market Disclosure Regulation.

(b) An issue that the Chairperson acknowledges that the contents of the internet rumors, etc. thereon have a significant impact on the investment decisions of investors.

8. An issue with excessive participation in spam messages: An issue that was designated as the issue with participation in spam messages for two (2) or more times in the latest five days including the latest day. In such cases, the spam message-participating issue is designated by the Chairperson from among the issues falling under all of the followings considering the market situation and the contents of disclosure, etc.

(a) Where the average number of reports on commercial advertisement information related to stock trade, which are reported to the Korea Internet and Security Agency pursuant to [§52] of the Act on Promotion of Information and Communications Network Utilization and Information Protection, etc., in the latest three (3) days (including the latest day) increased by three (3) times or more compared to the average number of reports in the latest five (5) days or twenty (20) days; or

(b) Where it falls under any of the cases pursuant to [§3(4)7(a)(ii)].

9. An issue falling under the criteria for designation as investment alert issue pursuant to [§3-3(2)]; Provided that issues for which no such designation notice has been issued pursuant to [§3-3(4)] are excluded; (Amended on May 26, 2026)

10. An issue falling under the criteria for release from the designation as investment alert issues pursuant to [§3-3(5)1]; and

11. Additionally, the issue that the Chairperson deems necessary for the investor protection.

(5) In the case of applying the specifications noted in paragraphs (2) through (4) to the issue, which is a stock, etc., falling under any of the following subparagraphs, the designation criteria shall apply from the trade resumption day. [November 27, 2009] (Amended on April 18, 2016)

1. An issue that has been suspended from trading for the application of the issue using

the first trading price as the base price; and

2. An issue that has been suspended from trading because of falling under the delisting criteria.

3. [Deleted on April 18, 2016]

(6) Notwithstanding paragraphs (2) through (4), in cases where an issue falls under any of the following subparagraphs, the Commission shall not designate such issue as investment caution issue. (Amended on February 3, 2009; February 11, 2011; June 17, 2013; June 26, 2014; November 27, 2014)

1. An issue designated as investment alert issue or investment risk issue;

2. An issue scheduled to be delisted;

3. An issue which was initially listed on the KONEX Market within the recent 20 days; and

4. An issue for which the Chairperson deems that the designation as an investment caution issue is deemed significantly inappropriate, considering the characteristics of the issue or market conditions. [April 24, 2026]

(7) Notwithstanding paragraphs (2) through (4), in the case of falling under any of the following subparagraphs, the designation as investment caution issue and publication thereafter may not be conducted. [November 13, 2008] (Amended on February 3, 2009; November 23, 2022)

1. Case of natural disaster, war or calamity;

2. Case of sudden or drastic change in the economic situation or market condition; and

3. As a case equivalent to subparagraphs 1 and 2, the case where the Chairperson deems that the designation as an investment caution issue is deemed significantly inappropriate.

(Wholly amended on August 27, 2007)

§3-2. Securities to be designated as Investment Alert Issue or Investment Risk Issue

The “securities specified in the Enforcement Rules” noted in [§5-3(1)] of the Regulation shall refer to DRs. (Amended on February 3, 2009; March 8, 2012; October 31, 2014; February 2, 2018)

[August 27, 2007]

§3-3. Designation of Investment Alert Issue, etc.

(1) Pursuant to [§5-3(5)] of the Regulation, in the case of an issue falling under any of the following subparagraphs within ten (10) days counting from the day of having been notified about possible designation as investment alert issue pursuant to paragraph (2), the Commission may make public such an issue after designating it as an investment alert issue on the next trading day: (Amended on July 24, 2008; November 27, 2009; May 31, 2010; February 11, 2011; March 8, 2012; September 12, 2012; October 5, 2012; June 17, 2013; March 29, 2016; April 18, 2016; May 31, 2016; February 10, 2017; September 14, 2017; December 12, 2023; May 21, 2024)

1. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (1), the issue falling under all of the following items:

(a) Where the rate of stock price increase during the latest five (5) days is 60% or higher;

(b) Where the stock price on the day noted in subparagraph 1a is the highest in the latest fifteen (15) days (in case of issue that has not elapsed fifteen (15) days counting from the initial listing date or the trade resumption date of an issue falling under each subparagraph of paragraph (3), it refers to the period from the initial listing day or the trade resumption day to the day: the same hereinafter in this Article and [§3-4]); and

(c) Where the stock price increase during the latest five (5) days is five (5) times or higher than the increase of KOSPI index (It shall apply to an issue listed on the KOSPI Market; provided, that if the sector index whose constituents include the relevant issue is calculated and the number of constituents of the sector index is ten (10) or more, that sector index shall apply: the same hereinafter in this paragraph and [§3-4]) or KOSDAQ index (It shall apply to an issue listed on the KOSDAQ or KONEX Market: the same hereinafter in this paragraph and [§3-4].) for the same period. (Amended on December 26, 2025)

2. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (2)2, the issue falling under all items of subparagraph 1 or all of the following items:

(a) Where the rate of stock price increase during the latest fifteen (15) days is 100% or higher;

(b) Where the stock price of the day is the highest in the latest fifteen (15) days; and

(c) Where the stock price increased during the latest fifteen (15) days is three (3) times or higher than the increase of KOSPI or KOSDAQ index for the same period.

3. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (2)3, the issue falling under all of the following items:

(a) Where the issue has been designated as investment caution issue (the case of having been designated by falling under [§3(4)9 and 10] shall be excluded and the designation as investment alert issue during the same period and the designation as investment caution issue before the relevant designation, and if it has been designated as investment caution issue for more than once on the same day, it shall be counted as one (1) designation; the same hereinafter in this Article) for at least five (5) times during the recent fifteen (15) days and the stock price has risen at least 75/100 during the same period;

(b) Where the stock price of the day is the highest in the latest fifteen (15) days; and

(c) The rate of stock price increase during the latest fifteen (15) days is at least three (3) times the increase rate of KOSPI or KOSDAQ index during the same period.

4. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (2)4, the issue falling under all of the following items:

(a) The rate of stock price increase during the latest five (5) days is 45% or higher;

(b) The stock price of the day is the highest in the latest fifteen (15) days; and

(c) Case of falling under any item of paragraph (2)4.

5. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (2)5, the issue falling under all of the following items:

(a) The rate of stock price increase during the latest fifteen (15) days is 75% or higher;

(b) The stock price of the day is the highest in the latest fifteen (15) days; and

(c) Case of falling under any item of paragraph (2)5.

6. The issue that satisfies the conditions for releasing from the designation as investment risk issue pursuant to [§3-4(5)1].

7. In the case of having been notified about possible designation as an investment

alert issue pursuant to paragraph (2)6, the issue falling under all of the following items:

- (a) Where the stock price of a specific date after the date of prior notice is higher than those of the day before the date of most recent designation as an investment alert issue and the day before the date of release from such designation; and
- b. Where the rate of stock price increase of a specific date after the date of prior notice for two-day period is 40% (20% for the KONEX-listed issues) or higher.

8. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (2)7, the issue falling under all of the following items:

- (a) The rate of stock price increase during the latest three (3) days is 100% or higher;
- (b) The stock price of the day is the highest in the latest fifteen (15) days; and
- (c) The rate of stock price increase during the latest three (3) days is at least five (5) times the increase rate of KOSPI or KOSDAQ index during the same period.

9. In the case of having been notified about possible designation as an investment alert issue pursuant to paragraph (2)8, the issue falling under all of the following items:

- (a) The stock price of the day is the highest in the latest fifteen (15) days; and
- (b) Case of falling under main sentence of paragraph (2)8.

(2) In cases where an issue falls under any of the following subparagraphs, while the stock price of the day is the highest in the latest fifteen (15) days, the Commission may make a prior notice on the fact that such issue may be designated as an investment alert issue, on the next trading day. Provided that, for the case of subparagraph 6, this provision shall apply even when the stock price of the day is not the highest in the latest fifteen (15) days. (Amended on July 24, 2008; November 27, 2009; March 8, 2012; October 5, 2012; April 18, 2016; September 14, 2017; November 23, 2022; December 12, 2023)

- 1. The issue of which the rate of stock price increase during the latest five (5) days is 60% or higher;
- 2. The issue of which the rate of stock price increase during the latest fifteen (15) days is 100% or higher;
- 3. The issue which has been designated as investment caution issue at least five (5)

times in the recent fifteen (15) days and the rate of stock price during the same period is 75% or higher;

4. The issue falling under any of the following items, while the rate of stock price increase during the latest five (5) days is 45% or higher:

(a) Of the latest five (5) days, the number of days when the stock price of the day is higher than the price of previous trading day and a specific account (group) purchased more than 10/100 of the total daily purchase volume at the highest price is two (2) or more days;

(b) Of the latest five (5) days, the number of days that the rate of purchase participation of a particular account (group) of related accounts considering its impact on market price corresponds to the criteria that the Chairperson determines is two (2) days or more; or

(c) [Deleted on November 23, 2022]

(d) Of the latest five (5) days, the number of days when the rate of purchase participation of opening or closing price of a particular account (group) is 20% or more is two (2) days or more.

5. The issue falling under any of the following items, while the rate of stock price increase during the latest fifteen (15) days is 75% or higher:

(a) Of the latest fifteen days (15) days, the number of days when the stock price of the day is higher than the price of the previous trading day and a specific account (group) purchased more than 10/100 of the total daily purchase volume at the highest price is four (4) or more days;

(b) Of the latest fifteen (15) days, the number of days when the rate of purchase participation of a particular account (group) considering its impact on market price corresponds to the criteria that the Chairperson determines is four (4) days or more; or

(c) [Deleted on November 23, 2022]

(d) Of the latest fifteen (15) days, the number of days when the rate of purchase participation of opening or closing price of a particular account (group) is 20% or more is four (4) days or more.

6. The issue corresponding to the criteria for the release from the designation as an investment alert issue pursuant to paragraphs (5)1.

7. The issue of which the rate of stock price increase during the latest three (3) days is 100% or higher (It shall not apply to the issues listed on KONEX Market);

8. The issue of which the rate of stock price increase that exceeds the rate (if the index falls, the rate of index increase shall be 0%) of the KOSPI index increase (applies to issues listed on the KOSPI market) or the KOSDAQ index increase (applies to issues listed on the KOSDAQ market) is 200% or more over the latest one (1) year, while, out of the last fifteen (15) days, the number of days when the rate of purchase participation in the relevant issue of the top ten (10) accounts fall under the criteria that the Chairperson sets considering its impact on market price is four (4) days or more. Provided that an issue that falls under any of the following items shall be excluded: (Amended on December 26, 2025)

(a) Issues listed on the KONEX market;

(b) Issues for which less than one (1) year (including the first day) has elapsed from the date of initial listing or the date on which the first trading price is applied as the base price; or

(c) Issues already designated as an investment alert issue pursuant to paragraph (1)9 within the last sixty (60) trading days. (Amended on December 26, 2025)

(d) [Deleted on May 26, 2026]

(3) In the case of an issue that falls under any of the following subparagraphs, the criteria for designation or issuing a prior notice on designation as investment alert issue shall apply from that date, including the day of trade resumption: (Amended on November 27, 2009; April 18, 2016)

1. Issue that has been suspended from trading to implement the issue using the first trading price as base price; or

2. Issue that has been suspended from trading as it falls under the delisting criteria.

3. [Deleted on April 18, 2016]

(4) Notwithstanding paragraphs (1) and (2), in the case of falling under any of the following subparagraphs, the Commission may not designate it or issue a prior notice on designation as an investment alert issue. (Amended on June 17, 2013; November 27, 2014)

1. The issues scheduled to be delisted; or

2. The issues listed in the KONEX market, which are within 20 days after listings; or

3. Issues ranked within the top one hundred (100) in terms of market capitalization as of the previous day out of the total issues listed on the KOSPI and KOSDAQ markets; or [May 26, 2026]

4. Any other issues that the Chairperson deems the designation or prior notice of designation as investment warning issues to be significantly inappropriate, taking into account sudden changes in market conditions, the need for investor protection, etc. [May 26, 2026]

(5) In cases where the issue designated as an investment alert issue falls under any one of following subparagraphs, the Commission shall release the relevant issue from such designation on the next trading day: (Amended on May 31, 2010; October 5, 2012; March 29, 2016; April 18, 2016; September 14, 2017; December 12, 2023)

1. Case of falling under any of the following items on the day that comes after the tenth day counting from the date of designation as an investment alert issue:

(a) Where an investment alert issue designated pursuant to subparagraphs 1 through 3 and subparagraph 8 of paragraphs (1) does not fall under any of the conditions noted in subparagraphs 1(a), 1(b), 2(a) and 2(b) of paragraph (1);

(b) Where an investment alert issue designated pursuant to paragraphs (1)4, (1)5 and (1)9 does not fall under any of the conditions noted in subparagraphs 4(a), 4(b), 5(a) and 5(b) of paragraph (1);

(c) Where an investment alert issue designated pursuant to paragraph (1)6 satisfies the conditions to be released from the designation as an investment risk issue; or

(d) Where an investment alert issue designated pursuant to paragraph (1)7 falls under the criteria that were applied for the most recent release from the designation as an investment alert issue.

2. Case where the issue falls under delisting criteria, or the issue has been suspended from trading for implementation of issue using the first trading price as the base price.

[August 27, 2007]

§3-4. Designation as Investment Risk Issue, etc.

(1) In cases where an investment alert issue falls under any of the flowing subparagraphs within ten (10) days after the notification on impending designation as investment risk issue pursuant to paragraph (2), the Commission may make public such issue after designating it as investment risk issue on the next trading day: (Amended on July 24, 2008; November 27, 2009; February 11, 2011; March 8, 2012; October 5, 2012; June 17, 2013; November 27, 2014; March 29, 2016)

1. In the case of having been notified of impending designation as investment risk issue pursuant to paragraph (2)1, the issue falling under all of the following items;

- (a) The rate of stock price increase during the latest five (5) days is 60% or higher;
- (b) The stock price of the day is the highest in the recent fifteen (15) days; and
- (c) The rate of stock price increase in the latest five (5) days is at least five (5) times the rate of increase of KOSPI or KOSDAQ index during the same period.

2. In the case of having been notified of impending designation as investment risk issue pursuant to paragraph (2)2, the issue falling under all of the items of subparagraph 1 or the issue falling under all of the following items:

- (a) The rate of stock price increase in the latest fifteen (15) days is 100% or higher;
- (b) The stock price of the day is the highest in the latest fifteen (15) days; and
- (c) The rate of stock price increase in the latest fifteen (15) days is at least three (3) times the rate of increase of KOSPI or KOSDAQ index during the same period.

3. In the case of having been notified about impending designation as investment risk issue pursuant to paragraph (2)3, the issue falling under all of the following items

- (a) The rate of stock price increase during the latest five (5) days is 45% or higher;
- (b) The stock price of the day is the highest in the latest fifteen (15) days; and
- (c) It shall come under any item of paragraph (2)3.

4. In the case of having been notified about impending designation as investment risk issue pursuant to paragraph (2)4, the issue falling under all of the following items:

- (a) The rate of stock price increase during the latest fifteen (15) days is 75% or higher;
- (b) The stock price of the day is the highest in the latest fifteen (15) days; and
- (c) It shall fall under any item of paragraph (2)4.

5. In the case of having been notified of impending designation as investment risk issue pursuant to paragraph (2)5, the issue falling under all of the following items:

- (a) The rate of stock price increase during the latest three (3) days is 45% or higher;
- (b) The stock price of the day is the highest in the latest fifteen (15) days; and
- (c) The rate of stock price increase during the latest three (3) days is at least five (5)

times the rate of increase of KOSPI or KOSDAQ index in the same period.

(2) In cases where an issue designated as investment alert issue falls under any of the following subparagraphs while the price is the highest in recent fifteen (15) days, the Commission may issue a prior notice about the fact that such issue may be designated as investment risk issue on the next trading day: (Amended on November 27, 2009; March 8, 2012; October 5, 2012; March 29, 2016; November 23, 2022)

1. An issue of which the rate of stock price increase during the latest five (5) days is 60% or higher:

2. An issue of which the rate of stock price increase during the latest fifteen (15) days is 100% or higher:

3. An issue falling under any of the following items, while the rate of stock price increase during the latest five (5) days is 45% or higher:

(a) Of the latest five (5) days, the number of days when the stock price of the day is higher than that of previous trading day and a specific account (group) have purchased more than 10/100 of the total purchase volume at the highest price is two (2) or more days;

(b) Of the latest five (5) days, the number of days when the rate of purchase participation of a particular account (group) considering its impact on market price corresponds to the criteria that the Chairperson determines is two (2) days or more

(c) [Deleted on November 23, 2022]

(d) Of the latest five (5) days, the number of accounts when the rate of purchase participation of opening or closing price of a particular account (group) is 20% or more is two (2) days or more.

4. The issue falling under any of the following items, while the rate of stock price increase in the latest fifteen (15) days is 75% or higher:

(a) Of the latest fifteen days (15) days, the number of days when the issue price of the day is higher than the price of the previous trading day and a specific account (group) purchased more than 10/100 of total daily purchase volume at the highest price is four (4) or more days;

(b) Of the latest fifteen (15) days, the number of days when the rate of purchase participation of a particular account (group) considering its impact on market price corresponds to the criteria that the Chairperson determines is four (4) days or more; and

(c) [Deleted on November 23, 2022]

(d) Of the latest five (5) days, the number of accounts when the rate of purchase participation of opening or closing price of a particular account (group) is 20% or more is four (4) days or more.

5. An issue of which the rate of stock price increase during the latest three (3) days is 45% or higher

(3) In applying the criteria specified in paragraphs (1) and (2) to the designation as investment risk issue or issuing a prior notice on such designation pursuant to paragraph (1) or (2), “the recent five (5) days”, “the recent fifteen (15) days”, and “the recent three (3) days” shall deem as “the recent five (5) days that are five (5) days after counting from the date of designation as investment alert issue”, “the recent fifteen (15) days that are fifteen (15) days after counting from the date of designation as investment alert issue” and “the recent three (3) days that are three (3) days after counting from the date of designation as investment alert issue”, respectively. Provided that the designation day of the issue, which was designated as investment alert issue once again within ten (10) days, including the day of release, of being released from such designation, shall be deemed that the designation date immediately before the relevant release day. (Amended on November 27, 2009; March 8, 2012)

(4) [Deleted on November 27, 2014]

(5) In cases where the issue designated as an investment risk issue falls under any of the following subparagraphs, the Commission shall release the relevant issue from such designation on the next trading day: (Amended on March 8, 2012; October 5, 2012; June 17, 2013; March 29, 2016)

1. Case of falling under any of the following items on the day that is after ten (10) days counting from the day of designation as investment risk issue; and

(a) An investment risk issue designated pursuant to paragraphs (1)1, (1)2 and (1)5 does not correspond to any of subparagraphs 1a, 1b, 2a and 2b of paragraph (1); or

(b) An investment risk issue designated pursuant to paragraphs (1)3 and (1)4 does not correspond to any of subparagraphs 3a, 3b, 4a and 4b of paragraph (1).

2. Case where the trading has been suspended because of falling under the delisting criteria or to apply the issue using the first trading price as base price.

[August 27, 2007]

[§3-5. Request for Trade Suspension, etc. of Investment Alert Issues](#)

(1) For the issue designated as an investment alert issue pursuant to [§3-3(1)], of which the stock price of a specific day after the designation is higher than the prices of the day

before designation and the immediately preceding trading day, while the rate of stock price increase of a specific day for two-day period is 40% (20% for the KONEX-listed issues) or higher, the Commission may request the relevant Market to suspend the trading of such issue for one (1) day on the next trading day. (Amended on June 10, 2015)

(2) For the issue designated as an investment alert issue pursuant to [§3-3(1)] that falls under every case noted in the following subparagraphs, the Commission may send a prior notification informing the fact that the trading of the relevant issue may be suspended on the trading day after the next trading day: (Amended on June 10, 2015)

1. Case where the stock price of a specific day is higher than those of the day before the day of designation as an investment alert issue and the immediately preceding trading day; and

2. Case where the rate of stock price increase for the two-day period after the specific day may possibly be 40% (20% for the KONEX-listed issues) or higher.

(3) For the issue that was suspended from trading for one (1) day pursuant to paragraph (1), the Commission shall discount the application of paragraphs (1) and (2) until the designation as an investment alert issue pursuant to [§3-3(5) or §3-4(1)] has been lifted. (Amended on August 26, 2013; December 11, 2015)

(4) The Commission shall discount the application of paragraphs (1) and (2) to the issue designated as investment alert issue pursuant to [§3-3(1)6]. (Amended on October 5, 2012)

[March 8, 2012]

[§3-6. Request for Trading Suspension of Investment Risk Issue, etc.](#)

(1) The Commission may request the relevant Market to suspend the trading of the issue on the day falling under any of the following subparagraphs for one (1) day:

1. In the case of being designated as an investment risk issue pursuant to [§3-4(1)], the day of designation; or

2. Case where the stock price of a specific day after the designation as an investment risk issue is higher than the price of the day before the day of designation and the price of the immediately preceding trading day for three (3) consecutive days, the next trading day.

(2) On the day falling under the day noted in any of the following subparagraphs, the Commission may make a prior notice on the fact that the trading of the relevant issue may be suspended for one (1) day:

1. In the case of being designated as an investment risk issue pursuant to [§3-4(1)], the day of sending the prior notice about the relevant designation; and

2. Case where the stock price of a specific day after the designation as an investment risk issue is higher than the price of the day before the day of designation and the price of the immediately preceding trading day for two (2) consecutive days, the next trading day.

(3) In case of the issue for which trading in the relevant Market is resumed after the trade suspension pursuant to paragraphs (1) and (2), when applying paragraphs (1)2 and (2)2 once again to the issue and when calculating the initial date in reckoning pursuant to [§3-4(5)1], the date of trading resumption shall deem to be the date of designation as investment risk issue. (Amended on August 26, 2013; December 11, 2015; November 23, 2022)

(Wholly amended on March 8, 2012)

§3-7. Calculation of Periods, etc.

(1) The periods under the provisions of [§3] through [§3-6] (excluding [§3-3(2)8c]) shall be calculated on the basis of the trading day of the relevant issue. Provided that, in cases where a listed issue is newly listed on other market, it shall be calculated based on the trading days after the listing date of the relevant issue. (Amended on October 5, 2012; February 2, 2018; December 12, 2023)

(2) Notwithstanding paragraph (1), when the period is determined by months or years, it shall be calculated according to the calendar. [December 12, 2023] <Previous paragraph (2) moves paragraph (3) on December 12, 2023>

(3) In cases where a listed issue is newly listed on other market, any prior notice or designation made to the relevant issue pursuant to [§3] through [§3-6] during the period of listing on the previous market shall become ineffective. [February 2, 2018] (Amended on December 12, 2023)

(4) The stock prices under the provisions of [§3] through [§3-6] shall be based on the closing price of the day. In such cases, when the stock price is changed as a result of the ex-right, share split, etc., the closing price shall apply on the basis of stock price calculated while taking into account such ex-right, share split, etc. and in the case of initially listed issue or issue for which the trade has been resumed after having been suspended from trading because of falling under any subparagraph of [§3(5)], the opening price of listing day and trade resumption day shall deem as the closing price of previous day. (Amended on February 11, 2011; October 5, 2012; June 6, 2023; December 12, 2023)

(5) The rate of stock price increase/decrease, the rate of participation in purchase or sale, increase rate of stock price index shall be calculated according to the following formula: (Amended on October 5, 2012; November 23, 2022; December 12, 2023; February 27, 2025)

1. Rate of stock price increase/decrease = $[(\text{Closing price at the time of comparison} - \text{Closing price of base date}) / \text{Closing price of base date}] \times 100$

2. Rate of participation in purchase or sale = $(\text{Purchase/Sales volume of a particular account or branch office for a fixed period}) / (\text{Total purchase/sales volume for a fixed period}) \times 100$. Provided that the purchase participation rate considering its impact on market price is separately determined by the Chairperson.

3. Increase rate of stock price index = $[(\text{Stock price index at the time of comparison} - \text{Stock price index on the base date}) / \text{Stock price index on the base date}] \times 100$

4. [Deleted on February 27, 2025]

5. [Deleted on February 27, 2025]

(6) The trading volume, quantity, participation rate, account, specific account (group), and daily highest price noted in [§3] through [§3-6] shall be applied based on the regular market (including trading during the trading hours of a multilateral trading company that are identical or similar to the trading hours of a regular market). Provided that, in cases where it is impossible to receive relevant information from the multilateral trading company due to electronic system failure, etc., matters excluding information from the multilateral trading company on the relevant trading day may be applied. [February 27, 2025]

[August 27, 2007]

§3-8. Operation of Monitoring System of Members, etc.

(1) Pursuant to [§6(6)] of the Regulation, the Commission shall establish exemplary guidelines on the matters to be monitored for the monitoring system of members while taking into consideration such factors as the order quality, participation rate per issue and price volatility. (Amended on December 27, 2012; February 10, 2017)

(2) In cases where there is a concern that a trade may correspond to unfair trade as it falls under its own monitoring criteria stipulated in paragraph (1), a member shall take actions necessary for prevention of unfair trading, including the prior warnings to the relevant customer and the refusal to accept orders from the relevant customer.

(3) In cases where the Commission has advised to a member the matters necessary for the internal surveillance, including the operation of monitoring system, or has provided

technical support to a member, the Commission may request the member to take appropriate actions and report the outcome thereof to the Commission.

(4) To assist members to efficiently operate their monitoring system, etc., the Commission may support a working party composed of the compliance officers of members.

(5) The exemplary guidelines on matters to be monitored for the members' monitoring systems noted in paragraph (1) and other matters necessary to support the preventive actions by members shall be determined by the Chairperson. [December 27, 2012] (Amended on February 10, 2017)

(Wholly amended on February 3, 2009)

§4. Securities, etc. subject to Reporting by Members

(1) "Other issues specified in the Enforcement Rules" noted in [§7(1)] of the Regulation shall refer to each of following securities and the exchange-traded derivatives products: (Amended on November 30, 2006; February 3, 2009)

1. Convertible bonds;
2. Bonds with warrants;
3. Subscription warrants;
4. Participating bonds;
5. Exchangeable bonds that can be converted to the stocks of the relevant stock-listed corporation; and
- 5-2. Beneficiary certificates, derivative linked securities and securities depository receipts; and
6. Equity linked warrants through which the acquisition of treasury stocks of the relevant stock-listed corporation is possible by exercising the right, single stock futures, single stock options, and other similar securities or exchange-traded derivatives products.

(2) The reporting on the treasury stock transaction by major shareholders, etc. of a stock-listed corporation by the member pursuant to [§7(5)] of the Regulation shall be made in accordance with [Annex: Form 1]. (February 3, 2009)

§5. Reporting by Member for the Prevention of Unfair Trading

The reporting by the members on the rumors, etc. pursuant to [§7(2)] of the Regulation shall be made in accordance with [Annex: Form 2] and the reporting on civil appeals or disputes pursuant to [§7(4)] shall be made in accordance with [Annex: Form 4], respectively. (Wholly amended on February 3, 2009)

CHAPTER III. INVESTIGATION INTO ABNORMAL TRADING AND MEMBER INSPECTION

§6. Methods of Requesting Voluntary Withdrawal

Pursuant to [§9(2)] of the Regulation, the request for voluntary withdrawal shall be made in accordance with [Annex: Form 5].

§6-2. Handling of Report on Unfair Trading

(1) Pursuant to [§10(3)] of the Regulation, report on unfair trading may be made through document, mail, fax, internet, phone call, etc. In such cases, the details shall be included to ensure the probability of unfair trading and identification of an informant. [September 13, 2013]

(2) When a report on unfair trading is made pursuant to paragraph (1), the Commission may conduct the market surveillance, investigation or inspection in order to check the truth of its details. (Amended on February 3, 2009; September 13, 2013)

(3) In cases where the details of report on unfair trading correspond to any of the following subparagraphs, the Commission may treat the case as closed: (Amended on August 27, 2007; February 3, 2009; September 13, 2013)

1. Cases that are not related to the illegal or wrongful activities specified in the Financial Investment Services and Capital Market Act (hereinafter referred to as “the Act”) and business-related regulations; (Amended on February 27, 2025)
2. Cases that are not obvious because the scope, time and activity reported are ambiguous or no specific facts are indicated;
3. Cases where the information about the informant is judged to be uncertain or improper;
4. Cases that cannot be probed through the investigation by the Exchange;
5. As a case that has been reported again by the same informant within the recent five

(5) trading days of the previous reporting, the details of report are the same or similar to those of the previous report;

6. Cases where the details of report suggest the general suspicion mainly on the basis of the market conditions (the fluctuation of stock prices, trading volumes or quotation prices, etc.) that are published on the securities information devices, etc.;

7. Cases where the details of report are the same or similar to the matter that is under investigation or inspection, or the investigation on the reported matter has been concluded recently; and

8. Additionally, in view of the trading pattern, duration or market conditions, cases where the details of report call for little or no need for investigation.

(4) Notwithstanding paragraph (3), in cases where the Chairperson deems the investigation is necessary because of the significance of the details of report, it may not be treated as a closed case. (Amended on August 27, 2007; September 13, 2013)

[November 30, 2006]

§6-3. Criteria for Award Payment, etc.

(1) Pursuant to [§10(3)] of the Regulation, when the outcome of the investigation and inspection of the details reported based on the particular materials relevant to the verification of suspicion of unfair trading (the materials, already introduced to the public, such as tendency of stock prices, disclosure, press release, etc. are excluded.) falls under any of the following subparagraphs, the Commission may pay the monetary award of KRW 3 billion or less to the informant. Provided that, in the case of subparagraphs 1 and 3, the monetary award is paid by deducting the minor award already paid pursuant to paragraph 2, and in the case of subparagraph 2, the monetary award is paid by deducting the minor award already paid pursuant to paragraph (2): (Amended on August 27, 2007; June 27, 2008; February 11, 2011; July 3, 2012; September 13, 2013; June 30, 2015; November 23, 2022; February 16, 2024)

1. Where the supervisory agency has been notified because of the suspicion of unfair trading;

2. Where, of cases falling under subparagraph 1, it has been confirmed that the Securities and Futures Commission has decided to file a complaint to the prosecution, inform an agency with the investigative power, or impose penalty surcharge; and

3. Where the disciplinary measures against a member (including the measures taken against the officers and employees of the member) have been imposed as a result of violating the business-related regulations or [§178-2] of the Act. (Amended on February 27, 2025)

(2) In cases where it has been acknowledged that the information reported by the informant has contributed to the prevention of unfair trading and operation of market surveillance, the Commission may pay the informant minor monetary award - determined separately within KRW 9 million. [June 27, 2008] (Amended on February 11, 2011; July 3, 2012; September 13, 2013; June 26, 2014; December 15, 2021; June 26, 2026)

(3) In cases where the details of information received during the period when the Commission put an advertisement on the Internet homepage, etc. for the purpose of receiving a tip on material unfair trading matter has contributed to the fulfillment of market oversight operation, a special monetary award of KRW 100 million or less may be given to the informant. In such cases, the minor award pursuant to paragraph (2) shall not be given. [July 3, 2012] (Amended on September 13, 2013)

(4) Notwithstanding paragraphs (1), (2), and (3), in the case that falls under any one of the following subparagraphs, the monetary award may not be paid: (Amended on August 27, 2007; June 27, 2008; February 3, 2009; July 3, 2012; September 13, 2013; November 23, 2022)

1. Where the type, time and actual offender of unfair trading reported are different from the results of the investigation. Provided that this provision shall not apply to the case where the reported details have made significant contribution to the uncovering of unfair trading;

2. Where the monetary award has already been paid or will be paid for the same report contents or report contents with the same important part (hereinafter referred to as the “identical report content”). Provided that, the case where, as a case for which monetary award pursuant to paragraph (1)1 has been paid; the monetary award is paid pursuant to paragraph (1)2, and the case where, as a case for which a minor award pursuant to paragraph (2) or special award pursuant to paragraph (3) has been paid, the monetary award is paid pursuant to paragraph (1) shall not apply;

- 2-2. Where other organizations (Financial Supervisory Service, etc.) already have paid or will pay the monetary awards for the details reported (including the case where major parts are the same.) which are subject to award provision pursuant to paragraph (1);

3. Where the reported details are the same as or similar to the facts already made public by such means as the media reports;

4. Where the reported details are the information that the government employees or the officers or employees of a supervisory agent have acquired while performing their duties;

5. Where the contact with the informant has been problematic for at least three (3)

months because of the difficulty in identifying or locating the informant;

6. Where the informant turns down the monetary award;

7. Where a disciplinary measure has been imposed against the informant as a result of investigation into the unfair trading that he/she has reported and which fall under any of the Subparagraphs of [§379-2(3)] of the Enforcement Decree of the Act. (Amended on June 26, 2026)

8. As a case where the informant is a stakeholder in relation to the reported details, when it is obvious that the report was made for the purpose of gaining personal benefit in addition to the monetary award; and

9. Other cases where the Chairperson deems that the monetary award is irrational.

(5) Whether or not to pay the monetary award pursuant to paragraphs (1) through (3) shall be decided within the period noted in each of the following subparagraphs. Provided that, if the case falls under paragraph (1)2 and it is not confirmed by the deadline for deciding on the payment of a reward whether the case falls under paragraph (4)2-2, the date of such confirmation shall be deemed the date of occurrence of the reason for payment. (Amended on November 23, 2022; February 16, 2024; June 26, 2026)

1. Cases where the Committee decides whether to pay monetary award pursuant to paragraph (1): Within four (4) months after the expiration of the quarter to which the date of occurrence of the reason for payment belongs; and

2. Cases other than subparagraph 1: Within the period noted in each of the followings;

(a) Where the amount exceeds KRW 50 million as a monetary award under paragraph 1 or a special monetary award under paragraph 3: Within two (2) months after the expiration of the quarter to which the date of occurrence of the reason for payment belongs;

(b) Where the amount is KRW 50 million or less as a special monetary award under paragraph 3: Within one (1) month from the date on which the reason for payment occurred. and

(c) Cases other than items (a) and (b): Within one (1) month after the expiration of the quarter to which the date of occurrence of the reason for payment belongs.

(6) Monetary awards pursuant to paragraphs (1) through (3) shall be paid within the amount of the monetary award budget for the year in which the payment decision is made. Provided that, if the budget for the relevant year is insufficient, payment may be made from the budget for the following year if the reward deliberation committee

deems it necessary [June 26, 2026]

(7) The Chairperson shall determine the calculation method and deliberation procedures of monetary award pursuant to paragraph (1) and the details of circumstances of giving a minor award and a special award and calculation method and deliberation procedures of award amount pursuant to paragraphs (2) and (3). (Amended on June 27, 2008; July 3, 2012; December 27, 2012)

[November 30, 2006]

§6-4. Method of Requesting Provision of Information to Multilateral Trading Companies

Pursuant to [§10(2)2] of the Regulation, the Commission may request the provision of information to multilateral trading companies in writing (including electronic documents using information and communications networks noted in the Act on Promotion of Information and Communications Network Utilization and Information Protection, etc.) or in the form of digital material through information and communications networks noted in the Electronic Financial Supervision Regulations.

[February 27, 2025]

§7. Types of Market Surveillance, etc.

(1) Pursuant to [§11(4)] of the Regulation, the Chairperson shall determine the types of market surveillance, taking into consideration factors such as the issues subject to surveillance and surveillance duration. (Amended on November 30, 2006; October 28, 2025)

(2) Pursuant to [§11(4)] of the Regulation, for market surveillance, etc., the Commission may collect rumors, etc. falling under any of the following Subparagraphs: [November 30, 2006] (Amended on August 27, 2007; September 13, 2013; June 30, 2015; October 28, 2025)

1. The matters stipulated in [§147, §172 through §174, §176, §178, §178-2 and §180] of the Act;
2. The matters stipulated in [§161] of the Act, the Chapters 2 and 3 in Part I of the KOSPI Market Disclosure Regulation, Chapters 2 and 3 in Part I of the KOSDAQ Market Disclosure Regulation, and Chapter 2 in Part I of the KONEX Market Disclosure Regulation; and
3. In addition to subparagraphs 1 and 2, the matters that may have influence on the stock price and trading volume.

(3) Matters necessary for market surveillance, such as criteria for detecting and monitoring transactions subject to analysis for selecting abnormal trading, selection criteria for transactions subject to investigation and trading analysis and relevant processing, etc. shall be determined by the Chairperson. [November 23, 2022]

§7-2. Request for Change of Trade Execution Methods

(1) Pursuant to [§11(4)] of the Regulation, when an issue with abnormally soaring price falls under any of the following subparagraphs, the Commission may request the relevant Market to make a change in the trade execution method of the issue as stipulated in subparagraph 3 of [§12] of the Regulation. Provided that this provision shall not apply to the case where the trade execution method of the issue was already changed or scheduled to be changed because the relevant issue was designated as a temporary overheated issue or an issue to be delisted. (Amended on October 28, 2025)

1. In the case of the investment alert issues, when it is deemed necessary by comprehensively considering stock price fluctuations, disclosure, rumors and new reports, etc.; or
2. When an issue of which trade execution method was changed pursuant to subparagraph 1 is designated as an investment risk issue pursuant to [§3-4].

(2) In cases where the trade execution method of the relevant issue is changed pursuant to subparagraph 1, the Commission may make a public announcement of such fact.

[March 7, 2017]

§7-3. Market Surveillance Date

Pursuant to [§11(4)] of the Regulation, members shall submit market surveillance data according to the submission method determined and notified by the Chairperson.

[October 28, 2025]

§8. Information Required for Investigation

The information compiled for investigation pursuant to [§14(4)] of the Regulation (hereinafter referred to as “the information required for investigation”) shall be each of the following subparagraphs: (Amended on November 30, 2006; February 3, 2009; September 13, 2013)

1. Basic customer information pursuant to [Annex: Form 6];

2. Order slip, electronic order slip and other document recording the details of order placed;
3. Agreement for opening of trading account and account ledger;
4. Confirmation for delivery of risk warning notification;
5. Agreement for margin trading;
6. Customer account ledger;
7. Detailed list of substitute securities collected as good faith deposit;
8. Self-dealings ledger;
9. Deposit and withdrawal slips and register of check numbers;
10. Security deposit and withdrawal slip, register of security deposit and withdrawal and register of settlement securities;
11. Amounts of deposit, amounts of credit and payment, amount delivered/received per customer, and status of security delivered/received and status of shareholdings and trading details per customer;
12. Quantities, prices, dates and customer names of the issues that correspond to short sale pursuant to [§17] of the KOSPI Market Business Regulation, [§9-2] of the KOSDAQ Market Business Regulation, [§11] of the KONEX Market Business Regulation and the business standards of multilateral trading companies; (Amended on February 27, 2025)
13. Data such as IP address, etc. that are necessary for the identification of the order input device;
14. Personal information about the member's employee who is responsible for the management of customer accounts;
15. In case of the account under the name of the representative of investor consortium pursuant to the Regulation on Financial Investment Business of the Financial Services Commission (FSC) or the account that the securities company has opened for the handling of orders of an investor consortium, the account details relating to foreign investors belonging to that consortium and the distribution details of transaction results;
16. As a special case of foreign investor registration pursuant to the Regulation on Financial Investment Business of the FSC, when the foreign investors have been

registered under the names of member companies for such purposes as the separate management of customer assets, the information required for investigation, including the basic information about the foreign investor who is the principal of account of the customer assets; and

17. Additionally, other information required for investigation.

§9. Request for Submission of Information Required for Investigation, etc.

(1) The Commission shall make the request for the submission of information required for investigation pursuant to [§14(4)] of the Regulation in accordance with the format stipulated in [§4(2)] of the Act on Real Name Financial Transactions and Guarantee of Secrecy, and the request for appearance and presentation of opinion statements of the relevant parties in accordance with [Annex: Form 8]. (Amended on February 3, 2009)

(2) Pursuant to [§14(4)] of the Regulation, in cases where it is acknowledged that the member has unavoidable circumstance, the Commission may extend the deadline for submission of information required for investigation or postpone the date of appearance of the relevant parties.

(3) In the event that the Commission has requested to submit the information required for investigation pursuant to [§14(4)] of the Regulation, the member shall submit the information in writing, diskette or any other method that the Commission required. (Amended on November 30, 2006)

§10. Site Visit

(1) Pursuant to [§14(4)] of the Regulation, a site visit may be made in the cases noted in any of the following subparagraphs: (Amended on August 27, 2007)

1. When it is necessary for the reasons such as the speedy collection of information required for investigation;
2. In the course of investigation, when it is necessary to hear the statements of the member and its officers and employees implicated;
3. When it is necessary to accurately understand the local market conditions and circumstances, etc.; and
4. Additionally, when it is necessary for the efficient accomplishment of investigation.

(2) The provisions of [§9(1)] shall apply *mutatis mutandis* to the case of compiling information required for the investigation pursuant to paragraph (1)1. (Amended on August 27, 2007)

(3) In cases where a site visit is made pursuant to the provisions of subparagraphs 1, 2 and 4 of paragraphs (1), a prior notice shall be made to the head office, branch offices or business offices of the relevant member and the inspection authorization pursuant to [§12(1)] shall be presented to the persons involved, and the task shall be accomplished by inspecting the minimum number of areas necessary for the purpose of site visit.

§10-2. Establishment of Investigation Team

When it is needed for the investigation pursuant to [§14(4)] of the Regulation, the Commission may create an investigation team. [February 3, 2009]

§11. Methods of Preparing Record of Interview, etc.

Pursuant to [§15(5)] of the Regulation, the written confirmation, question-and-answer form and questionnaire shall be prepared in accordance with [Annex: Form 9] through [Annex: Form 11], respectively. (Wholly amended on February 3, 2009)

§12. Regular Inspection

(1) The regular inspection pursuant to [§16(3)] of the Regulation shall be conducted in accordance with the annual inspection plan. (Amended on February 3, 2009)

(2) The annual inspection plan pursuant to paragraph (1) shall include such matters as the company to be inspected, objectives of inspection, main matters to be inspected and method and schedule of inspection.

(3) When the annual inspection plan has been finalized, the Commission shall notify the members of the plan. In such cases, when the details of such annual inspection plan have been explained to the members, it shall be deemed that the members have been notified. (Amended on February 3, 2009)

(4) In cases where the result of analysis of the trading details of member indicates that the member may possibly have violated the business-related regulations and [§178(2)] of the Act, the Commission may notify the relevant member of the fact that it may be selected as one of the members subject to the regular inspection in advance. (Amended on February 3, 2009; June 30, 2015; February 27, 2025)

(5) Matters necessary for regular inspection, such as trading analysis, criteria for selecting members subject to regular inspection, etc. shall be determined by the Chairperson. [November 23, 2022]

[November 30, 2006]

§12-2. Irregular Inspection

(1) The irregular inspection pursuant to [§16(3)] of the Regulation shall be conducted when, subsequent to the market surveillance or the civil appeal or information reported, the Chairperson deems it necessary for the maintenance of market order or investor protection. (Amended on February 3, 2009)

(2) Notwithstanding to paragraph (1), as a case where, in relation to the suspicion about the violation of the relevant regulations, the scheduled investigation period is the same or thereabout, in the event where the investigation or inspection has already been conducted or is in progress, the inspection may not be conducted.

[November 30, 2006]

§12-3. Expansion or Consolidation of the Scope of Inspection, etc.

(1) Pursuant to [§17(5)] of the Regulation, when it is deemed necessary for the verification of illegal or wrongful activities, the Commission may extend the scheduled inspection period, the members or branch offices scheduled for inspection, the issues targeted for inspection, etc.

(2) In cases where a member or branch office that is being inspected has been selected as one of the members scheduled for inspection for the same or similar reasons, the Commission may conduct the inspection as a sole case by consolidating the intended inspection period, the members or branch offices scheduled for inspection, the issues targeted for inspection, etc.

[November 30, 2006]

§12-4. Inspection Methods, etc.

(1) The inspection instruction noted in [§17(5)] of the Regulation shall be as stipulated in [Annex: Form 12] and the inspection authorization shall be the identification stipulated in the Employment Rules of the Exchange. (Amended on November 30, 2006; March 7, 2017)

(2) Pursuant to [§17(5)] of the Regulation, when in the course of the site inspection of member, it is found that the details of the relevant violation are a minor matter, which does not indicate an intention or gross negligence of the officers or employees, the head of the inspection team pursuant [§13] (hereinafter referred to as “the head of inspection team”) may take each of the following actions on the site: (Amended on November 30, 2006; February 3, 2009)

1. Corrective measure: In cases where the correction method is obvious and simple; and

2. Issuance of Caution: In cases where it is deemed that correction or restoration to the original condition is impractical or bring about no practical benefit.

(3) In case of taking action pursuant to paragraph (2), the head of inspection team shall prepare [Annex: Form 14] and deliver it to the department head of the relevant head office or the head of branch office or business office and notify the auditor or head of the department concerned with the internal control for the follow-up purpose. (Amended on November 30, 2006)

(4) The provisions of [§8 through §11] shall apply *mutatis mutandis* to the inspection.

§13. Establishment of Inspection Team

Pursuant to [§17(5)] of the Regulation, when it is deemed necessary for the investigation or inspection, the Commission may establish an inspection team.

(Wholly amended on February 3, 2009)

§13-2. Examination of Short Sales by Members, etc.

(1) “Transactions that are likely to fall under the short sale violations stipulated in the Enforcement Rules” in [§19-2(1)2] of the Regulation shall refer to a transaction in which securities that are not held or cannot be settled by the settlement deadline are sold at first without an indication of covered short sale and the securities are repurchased in the same or similar quantity afterward on the same day.

(2) In cases where the members identify the short sale violations pursuant to [§19-2(1) or (2)] of the Regulation, they shall keep related documents, recordings, electronic data, etc. for five (5) years.

(3) The members shall report the examination result under [§19-2(4)] of the Regulation to the Commission by the 10th trading day of the month following the end of the quarter in which the transactions subject to the short sale violation examination occurred. (Amended on January 29, 2026)

(4) The detailed matters for the report of the short sale examination result pursuant to paragraph (3) shall be as specified in [Annex 1-2].

[Newly established on March 12, 2021]

§13-3. Type and Scope of Documents to Submit, etc.

(1) “Documents specified in the Enforcement Rules” in the main sentence of [§19-3(1)] of the Regulation shall refer to the document in any of the following subparagraphs: (Amended on March 13, 2025)

1. Information on customers, etc.;
2. Information on securities lending and borrowing transactions including an agreement for securities borrowing;
3. Information on transactions including details of securities balance; and
4. Other documents deemed necessary by the Commission to verify compliance with short sale regulations.

(2) “Manner prescribed in the Enforcement Rules” in [§19-3(1)2] of the Regulation shall refer to all methods in the following subparagraphs: [March 13, 2025]

1. A report must be submitted in accordance with [Annex: Form No. 14-2]; [March 13, 2025]
2. Information on the securities balance for all stocks held must be submitted without delay after the closing of the securities market (including the after-hours market and excluding trading at multilateral trading companies) on the second business day from the date of occurrence of the reason for balance change, based on the short sales registration number. [March 13, 2025]
3. The report must be submitted by electronic communication method designated by the Commission to the system (hereinafter referred to as the “naked short selling detection system”) operated by the Commission to receive information on balances by item, etc. In this case, the operating standards of the naked short selling detection system, the criteria for selecting detecting targets, procedures, and other matters necessary for short selling detection shall be determined by the Chairperson. [March 13, 2025]
4. If it is found that the submitted report contains false information or omissions, the report must be corrected and resubmitted without delay. [March 13, 2025]

(3) “Documents specified in the Enforcement Rules” in [§19-3(1)2] of the Regulation shall refer to materials in each of the following subparagraphs: [March 13, 2025]

1. A certificate of fact in accordance with [Annex: Form No. 14-2]; and [March 13, 2025]

2. Information noted in subparagraphs 2 through 4 of paragraph (1). [March 13, 2025]
- (4) The members shall submit the relevant documents to the Commission within two (2) weeks from the date of the request for the document submission pursuant to [§19-3(1)] of the Regulation.
- (5) Pursuant to [§19-3(2)] of the Regulation, the Commission shall request members under [§19-3(1)1] of the Regulation to submit materials in accordance with [Annex: Form No. 14-4]. (Amended on March 13, 2025)
- (6) Those who receive a request for submission of documents pursuant to [§19-3(1)2] of the Regulation shall submit the relevant documents to the Commission within seven (7) trading days from that date through an electronic method designated by the Commission. [March 13, 2025]

[Newly established on March 12, 2021]

CHAPTER IV. ACTIONS TAKEN IN ACCORDANCE WITH RESULTS OF INVESTIGATION OR INSPECTION

§14. Types and Reasons for Disciplinary Actions against Members

(Amended on September 14, 2021)

(1) Pursuant to [§22(5)] of the Regulation, in the case of taking a disciplinary measure against a member, it shall be conducted on the basis of each of the following criteria: (Amended on November 30, 2006; October 16, 2007; February 3, 2009; December 30, 2013)

1. Expulsion from membership:

(a) Case where it is deemed that, as a result of falling under subparagraph 1 through 3 of [§21] of the Regulation (hereinafter referred to as the “violation of relevant laws and regulations”), the member has caused a serious harm to the operation of market or is deemed to be incapable of performing the tasks as a member;

(b) [Deleted on December 26, 2011]

(c) [Deleted on December 26, 2011]

2. Suspension of membership completely or partially for not more than six (6) months:

(a) Case of seriously undermining the fair trading practices or the public confidence in the market by repeatedly violating the relevant laws and regulations; and

(b) Case of making impossible to accomplish the investigation or inspection by conducting actions under subparagraph 5 of [§21] of the Regulation (hereinafter referred to as “obstruction, etc. of investigation or inspection”).

(c) [Deleted on December 26, 2011]

(d) [Deleted on December 26, 2011]

3. Suspension of trading privileges completely or partially for not more than six (6) months. In such cases, the partial suspension of trading privileges may be imposed by using such categories as the brokering, self-dealing, issues or the head office, branch office or business office of the member, etc.

(a) Case of noticeably undermining the fair trading practices or the public confidence in the market by repeatedly violating the relevant laws and regulations; and

(b) Case of making significantly difficult to accomplish the investigation or inspection by causing obstruction, etc. of investigation or inspection.

(c) [Deleted on December 26, 2011]

(d) [Deleted on December 26, 2011]

4. Imposition of member fine at least ten (10) million won but not exceeding one (1) billion won:

(a) Case of undermining the fair trading system or the public confidence in the market by repeatedly violating the relevant laws and regulations; and

(b) Case of impeding the accomplishment of investigation or inspection, which falls under subparagraph 4 of [§21] of the Regulation (hereinafter referred to as the “violation of obligations for cooperation such as submission of materials, etc.”). (Amended on November 30, 2006)

(c) [Deleted on December 26, 2011]

(d) [Deleted on December 26, 2011]

5. Issuance of a warning

(a) Case where, although the relevant laws and regulations have been violated, the extent of undermining the fair trading practices or the public confidence in the market is insignificant; and

(b) Case where, in spite of the violation of obligations for cooperation such as submission of materials, etc., the extent of hindrance to the accomplishment of investigation or inspection is insignificant.

(c) [Deleted on December 26, 2011]

(d) [Deleted on December 26, 2011]

6. Issuance of a caution

(a) Case where, although the relevant laws and regulations have been violated, the extent of undermining the fair trading system or downgrading the public credibility of market is very insignificant;

(b) Case where, in spite of the violation of obligations for cooperation such as submission of materials, etc., the extent of hindrance to the accomplishment of investigation or inspection is very insignificant; and

(c) [Deleted on December 30, 2013]

(2) Pursuant to [§22(5)] of the Regulation, in the case of imposing member fine under paragraph 1(4) (including cases where additional charges are imposed in accordance with [§22(3)] of the Regulation), the [Annex: Form No. 15] shall be followed.: (Amended on September 14, 2021)

(3) Detailed matters for the imposition of member fine, refund and appropriation of overpayment, etc. shall be as specified in [Annex 1] (Amended on September 14, 2021)

(4) [Deleted on December 26, 2011]

(5) [Deleted on September 14, 2021]

§15. Aggravation of Disciplinary Measures against Members

(1) Pursuant to [§22(5)] of the Regulation, when taking a disciplinary action under [§22(1)] of the Regulation against a member, the level of disciplinary action may be aggravated within one step if it falls under any of the following subparagraphs, In this case, if a disciplinary action is taken for each of several violations of a member pursuant to [§15-2(2)] and each of the relevant disciplinary actions can be aggravated, only one disciplinary action related to the most serious violation shall be aggravated: (Amended on October 15, 2024)

1. Case where, within one (1) year after a member was subject to any of disciplinary actions noted in [§22(1)1-2, 1-3 or 2] of the Regulation as a result of violating the relevant laws and regulations or committing obstruction, etc. of investigation and

inspection, the relevant officer, employee and customer, etc. of the member has repeated the same or similar practices that are subject to disciplinary action;

2. Case where, within one (1) year after a member has received a warning or caution because of violation of the relevant laws and regulations or violation of obligations for cooperation such as submission of materials, the relevant officer, employee and customer, etc. of the member has repeated the same or similar practices subject to the issuance of a warning or caution;

3. Case where, subsequent to an investigation or inspection, a member is subject to a disciplinary action harsher than any of measures noted in [§22(1)1-2 through 4] of the Regulation three (3) or more times within the recent two (2) years; and

4. Case where a member is subject to the disciplinary measures noted in [§22(1)1-2 through 4] of the Regulation within two (2) years after being disciplined for failing to fulfill a request for improvement or correction pursuant to [§18(2)].

(2) Pursuant to [§22(5)] of the Regulation, in the case of imposing disciplinary action under [§22(1)] of the Regulation against a member, the level of disciplinary action may be aggravated within one step in consideration of the appropriateness of internal control. In such cases, the proviso to paragraph (1) excluding each item thereto shall apply mutatis mutandis. (Amended on October 15, 2024)

(3) In determining the number of disciplinary cases noted in paragraph (1)3, in cases where a disciplinary action is taken for each of several violations pursuant to [§15-2(2)], such case shall be construed as a single disciplinary case. (October 15, 2024)

(4) [Deleted on October 15, 2024].

(5) In cases where disciplinary action was aggravated pursuant to paragraph (1), the aggravation pursuant to paragraph (2) shall not be imposed. (October 15, 2024)

[September 14, 2021]

§15-2. Disciplinary Measures for Multiple Violations by Member

(1) Pursuant to [§22(5)] of the Regulation, in cases where a member's single action falls under multiple types of violations, a disciplinary measure against the most serious violation for each type of violation may be imposed.

(2) If a member's multiple actions fall under multiple types of violations or constitute several violations, disciplinary action may be taken for each action.

(3) The Chairperson shall separately determine detailed matters related to disciplinary methods for a member's multiple violations.

[October 15, 2024]

§16. Mitigation of Disciplinary Measures against Members

(1) Pursuant to [§22(5)] of the Regulation, when taking a disciplinary action under [§22(1)] of the Regulation against a member, the level of disciplinary action may be reduced by up to one step for the member who has been awarded for the compliance excellence in the recent two (2) years according to the procedures established by the Commission.

(2) Pursuant to [§22(5)] of the Regulation, when taking a disciplinary action under [§22(1)] of the Regulation against a member, the level of disciplinary action may be reduced by up to one step while taking into consideration the appropriateness of internal control.

(3) Pursuant to [§22(5)] of the Regulation, when taking a disciplinary action under [§22(1)] of the Regulation against a member, the level of disciplinary action may be reduced by up to one step if the member or executive officer or employee of the member makes a voluntary report on the relevant act through phone, e-mail, fax, or by submitting a report in Annex: Form No. 20 before the Commission recognizes the violation or illegal act. [June 7, 2023]

(4) The mitigation of disciplinary measures under paragraphs (1) and (2) shall not be applied repeatedly. (Moved from previous paragraph (3) on June 7, 2023)

[September 14, 2021]

§17. Methods for Aggravating or Mitigating Disciplinary Measures against Members

Pursuant to [§22(5)] of the Regulation, in the case of aggravating or mitigating disciplinary measures pursuant to paragraph (15) or (16), following methods shall be followed:

1. The aggravation or mitigation of disciplinary action under [§22(1)1-2 and 1-3] of the Regulation shall be made within the scope of each type of disciplinary action. Provided that, in the case of aggravation or mitigation of measures at the upper or lower limit of the scope of each type of disciplinary action, the level of disciplinary action type stipulated in each subparagraph of [§22(1)] of the Regulations shall be raised or lowered one step;
2. Matters related to the aggravation or mitigation of disciplinary action under [§22(1)2] of the Regulation shall be as stipulated in [Annex 1];
3. The aggravation or mitigation of disciplinary action under [§22(1)1, 3 and 4] of

the Regulation shall be made by raising or lowering one step the type of disciplinary action stipulated in each of subparagraphs of [§22(1)] of the Regulation; and

4. Notwithstanding subparagraph 3, the disciplinary action under [§22(1)1] of the Regulation shall not be aggravated or the disciplinary action under [§22(1)4] of the Regulation shall not be mitigated.

[Wholly amended on September 14, 2021]

§18. Types and Reasons for Requesting Members to Take Measures, etc.

(1) The types and reasons for requesting measures against members pursuant to [§22(5)] of the Regulation shall be as follows:

1. Demand for improvement

In cases where the conduct of business by the member, its officers or employees is in violation of laws and regulations or unreasonable and thus it is required for the member to improve its business operation, including the internal control system.

2. Demand for correction

In cases where it is deemed necessary to restore the activity that the member and its officers and employees have managed unlawfully or improperly to its original state, or it is necessary to normalize such activity after the restoration.

3. Advice for caution

In cases where either it is inappropriate to impose the measures under paragraph (1) or (2), or it is deemed necessary to advise the member to pay attention to prevent recurrence of illegal or improper conducts.

4. Demand for statement of fulfillment assurance

In cases where it is deemed necessary to be assured in advance about the member's implementation of the measures taken by the Commission pursuant to [§22] of the Regulation.

(2) When taking the disciplinary measures under [§22(1)1-2 through 4] of the Regulation, the Commission may impose concurrently the demand for improvement and the demand for corrective actions pursuant to paragraph (4) of the same Article.

[Wholly amended on September 14, 2021]

§19. Types and Reasons for Requesting Members to Take Disciplinary Actions against Officers and Employees

(1) The types and reasons for requesting a member to take disciplinary action against its officers pursuant to [§23(2)] of the Regulation shall be as follows:

1. Demand for dismissal

(a) Case where the fair trading practices have been severely undermined or the public confidence in the market has been significantly damaged by neglecting to supervise, or personally practicing or directing the illegal or wrongful activities intentionally or by gross negligence; and

(b) Case where the accomplishment of investigation or inspection was made nearly impossible or exceedingly difficult by neglecting to supervise, or personally practicing or directing the obstruction, etc. of investigation or inspection, intentionally or by gross negligence.

2. Demand for suspension of duties

(a) Case where the fair trading practices have been undermined or the public confidence in the market has been damaged by neglecting the supervision, or personally practicing or directing the illegal or wrongful activities, intentionally or by gross negligence; and

(b) Case where the accomplishment of investigation or inspection was hampered by neglecting the supervision of the violation of obligations for cooperation such as submission of materials, etc., or personally practicing or directing such activity, intentionally or by gross negligence.

3. Demand for warning

(a) Case where, although supervision of illegal or wrongful activities has been neglected or such activities have been personally practiced or directed, the extent of undermining the fair trading practices or damaging the public confidence in the market is insignificant;

(b) Case where, although the supervision of violation of obligations for cooperation such as submission of materials, etc. has been neglected, or such activity has been personally practiced or directed, the extent of impediment to the accomplishment of investigation or inspection is insignificant; and

(c) Case of violating the fiduciary duty of due care of a good manager in relation to the illegal or wrongful activities.

4. Demand for caution

Case where, although it falls under any of items of subparagraph 3, there are other extenuating circumstances.

(2) The types and reasons for requesting a member to take disciplinary action against its employees pursuant to [§23(2)] of the Regulation shall be as follows:

1. Demand for discharge from the office

(a) Case where the fair trading practices have been severely undermined or the public confidence in the market has been seriously damaged by committing illegal or wrongful activities (including the negligence of supervision of or personally practicing or directing such activities; the same hereinafter in this paragraph), intentionally or by gross negligence; and

(b) Case where the accomplishment of investigation or inspection was made nearly impossible or exceedingly difficult by committing the activities falling under [§21(5)] of the Regulation (hereinafter referred to as “impediment, etc. to investigation or inspection), intentionally or by gross negligence.

2. Demand for suspension of duties

Case where, although it falls under any of items of subparagraph 1, there are other extenuating circumstances.

3. Request for salary reduction

(a) Cases where the fair trading practices have been undermined or the public confidence in the market has been damaged by committing illegal or wrongful activities, intentionally or by gross negligence; and

(b) Cases where the accomplishment of investigation or inspection has been obstructed by committing the violation of obligations for cooperation such as submission of materials, etc., intentionally or by gross negligence.

4. Demand for reprimand

Case where, although it falls under any of items of subparagraph 3, there are other extenuating circumstances.

5. Demand for warning

(a) Case where the extent of undermining the fair trading system or damaging the public credibility of the market, which was brought about by the illegal or wrongful activities committed, is insignificant;

(b) Case where the extent of the impediment to the accomplishment of investigation

or inspection caused by the violation of obligations for cooperation such as submission of materials, etc. is insignificant; and

(c) Case of violating the due care of a good manager in relation to the illegal or wrongful activities.

6. Demand for a caution

Case where, although it falls under any of items of subparagraph 5, there are other extenuating circumstances.

(3) Pursuant to [§25(1)] of the Regulation, when the Commission notifies the relevant member of the decision to request disciplinary action, the request for disciplinary action shall be written and notified severer disciplinary request than one specified in each subparagraph of paragraph (1) or (2). Provided that, when notifying the decision to request disciplinary action pursuant to item 1 of paragraph 1, or item 1 of paragraph 2, the type of disciplinary request specified in each subparagraph shall be entered.

[Wholly amended on September 14, 2021]

§20. Aggravation of Request for Disciplinary Actions against Officers and Employees

Pursuant to [§23(2)] of the Regulation, when requesting a disciplinary action under [§23(1)1] of the Regulation against an executive of a member or requesting a disciplinary action under [§23(1)2] of the Regulation against an employee, the disciplinary request may be aggravated within one step if it falls under the case in any of the following subparagraphs.

1. Case where, within two (2) year after a member received the request for disciplinary action under [§23(1)1 or 2] of the Regulation as a result of violating the relevant laws and regulations or committing obstruction, etc. of investigation and inspection, the relevant officer or employee of the member has received the request for disciplinary action by repeating the same or similar practices.

2. Case where, as a result of a member's violating the relevant laws and regulations or committing obstruction, etc. of investigation and inspection, the relevant officer or employee has been subject to a disciplinary action harsher than any of the request for disciplinary action under [§23(1)1 or 2] of the Regulation three (3) or more times within the recent two (2) years.

[Wholly amended on September 14, 2021]

§21. Mitigation of Request for Disciplinary Actions against Officers and Employees

(1) Pursuant to [§23(2)] of the Regulation, when requesting a disciplinary action under [§23(1)1] of the Regulation for an officer of a member or requesting a disciplinary action under [§23(1)2] of the Regulation for an employee, the disciplinary request may be mitigated within one level if the officer or employee of the member has made a contribution in any of the following subparagraphs:

1. Case of having received a decoration or medal of merit pursuant to the Act on Awards and Decorations;
2. Case of having received a commendation equal to or higher than the ministerial award pursuant to the Government Regulations on Commendations; and
3. Case of having received the commendation of the Chairperson of the FSC, the Governor of the Financial Supervisory Service, the Chairperson of the Exchange and the Chairperson of the Commission.

(2) Pursuant to [§23(2)] of the Regulation, when requesting a disciplinary action under [§23(1)1] of the Regulation for an officer of a member or requesting a disciplinary action under [§23(1)2] of the Regulation for an employee, the disciplinary request may be reduced or exempted to the person who falls under any of the following subparagraphs:

1. The person who voluntarily reported the violation of laws and regulations and wrongful activity before the Commission becomes aware of it;
2. The person in charge of supervision who has uncovered the violation of laws and regulations or wrongful activity within his/her department or business branch and reported such fact to the Commission; and
3. The person who voluntarily corrected the violation of laws and regulations or wrongful action he/she committed before the Commission becomes aware of it.

(3) Pursuant to [§23(2)] of the Regulation, when requesting a disciplinary action under [§23(2)] of the Regulation for an officer or employee of a member, the disciplinary request for a collaborator who assists in the decision-making or action of a violator or a supervisor who supervises the violator's business processing may be reduced by one level or more compared to the request for disciplinary action against the violator taking into account the following matters:

1. The nature and extent of the illegal or wrongful activities;
2. The relation between the duties of supervisor and the duties subject to supervision and the degree of involvement; and
3. The extent of collaborator's contribution to the illegal or wrongful activities.

(4) When reducing the type and details of disciplinary request pursuant to paragraph (1), the contributions noted in each of the following subparagraphs shall be excluded:

1. In cases where there has been a request to discipline the relevant employee, the contribution made before such request; and
2. The contribution that the employee subject to discipline has made before joining the affiliated company.

(5) The reduction or exemption pursuant to paragraphs (1) through (3) shall not be applied repeatedly.

[September 14, 2021] [Previous Article 21 moved to Article 27 on September 14, 2021]

§22. Methods for Aggravating or Mitigating Disciplinary Measures against Officers and Employees

In the case of aggravating or mitigating disciplinary measures pursuant to paragraph (20) or (21), each of the following methods shall be followed:

1. The aggravation or mitigation of disciplinary action in each subparagraph of [§23(1)] of the Regulation shall be made by raising or lowering one step the type of request for disciplinary action stipulated in each of subparagraphs of [§19(1) or (2)]; and
2. Notwithstanding subparagraph 1, the request for disciplinary action under [§19(1)1] and [§19(2)1] shall not be aggravated or the request for disciplinary action under [§19(1)4] and [§19(2)6] shall not be mitigated.

[September 14, 2021] [Previous Article 22 moved to Article 28 on September 14, 2021]

§23. Member Voluntary Disciplinary Measures

(1) Pursuant to [§23(2)] of the Regulation, in cases where an employee of the member [excluding unregistered officers or executive officers, etc. who are in a de facto equivalent position to directors or auditors (hereinafter referred to as “executive officers, etc.” in this Article); the same hereinafter in this Article] falls under the types of request for disciplinary actions under [§19(2)5 and 6], the Commission may notify its decision to the member that allows the member to voluntarily decide and implement the disciplinary measures against its relevant employee (hereinafter referred to as “member voluntary disciplinary measures”)

(2) Notwithstanding paragraph (1), in the case of falling under any of the following subparagraphs, pursuant to [§23(1)] of the Regulation, the Commission may determine

the type of disciplinary actions and request the member to take the determined disciplinary action against the relevant employee:

1. Where the member's employee is a violator who has committed an illegal, unlawful or wrongful act or an instigator who instructed or urged the act and the Commission requests disciplinary actions against the directors, auditors, executive officers, etc. who are the related persons; or
2. Where the internal control system of a member is vulnerable, or the matters notified for the member voluntary disciplinary measures were managed inadequately within the recent two years, and subsequently it is deemed difficult for the member to make an autonomous sanction.

[September 14, 2021] [Previous Article 23 moved to Article 29 on September 14, 2021]

§24. Publication of Disciplinary Measures and Request for Disciplinary Actions

(1) Pursuant to [§24(3)] of the Regulation, the Commission may make public each of the following matters:

1. The date of resolution on the disciplinary measures or the request for disciplinary actions;
2. Names of the relevant member and the officers and employees of the member;
3. Key details of the violation; and
4. Types and details of disciplinary measures or the request for disciplinary actions.

(2) In cases where the type or details of disciplinary measure have been changed as a result of receiving an official objection pursuant to [§27(1)] of the Regulation or the reexamination on its own authority pursuant to [§27-2] of the Regulation, the Commission may make public such fact again on the day when the decision on the change has been made.

(3) In the case of the publication pursuant to paragraph (1), the real names of the relevant officer and employee may not be published.

(4) The Commission may determine the method of publication of the disciplinary action or the request for disciplinary action differently by considering comprehensively such factors as the necessity of unfair trading prevention, protection of investors and the extent to which a member has exerted efforts to prevent illegal activities, etc.

[September 14, 2021] [Previous Article 24 moved to Article 30 on September 14, 2021]

§25. Report on Results of Disciplinary Measures

(1) Pursuant to [§22(5) and §23(2)] of the Regulation and [§23], the Commission shall notify the relevant member of the details of the decision on disciplinary measures, the request for disciplinary measures, or the member voluntary disciplinary measures.

(2) With respect to the decision in paragraph (1), the Commission may notify the member of the details of decision on the request of disciplinary action or member voluntary disciplinary measures that the retired officer or employee would have received if he/she were in office. In this case, the member shall notify the relevant officer or employee of the details and report to the Commission whether or not to notify and whether to take disciplinary action within 3 months from the date of receiving the notification.

(3) A member who has been notified of the disciplinary action, the request for disciplinary action, or member voluntary disciplinary measures pursuant to paragraph 1, or who has been notified of the request for improvement or corrective action pursuant to [§22(4)] of the Regulation shall implement necessary measures within the period noted in each of the following subparagraphs from the receipt date of notice, unless there is special reasons, and report the results to the Commission without delay. Provided that, in cases where the implementation of the request for improvement or corrective action is not possible within the period noted in subparagraph 4, the statement of fulfillment assurance shall be submitted.

1. Imposition of member fine: One (1) month

2. Request for disciplinary actions or member voluntary disciplinary measures against officers or employees of the member: Two (2) months;

3. Request for disciplinary actions or member voluntary disciplinary measures against retired officers or employees of the member: Three (3) months;

4. Request for improvement or corrective actions: Two (2) months.

(4) In cases where, upon reviewing the results of implementation of matters related to the request for improvement or for corrective actions that were notified by a member pursuant to paragraph (3), if such implementation is deemed insufficient, the Commission may request the member to adequately manage the matters within a certain period of time. In such cases, the member shall notify the Commission of the result of processing of the matters notified by the Commission by the deadline.

[September 14, 2021] [Previous Article 25 moved to Article 31 on September 14, 2021]

§26. Reply to Inquiry about Disciplinary Record

(1) Members may inquire the Commission about the results of disciplinary measures reported by members pursuant to [§25(3)] in relation to those who are expected to be appointed or hired. In this case, the member shall submit to the Commission a written request for confirmation of disciplinary record in [Annex: Form 15-5] and a written consent on the provision of personal information in accordance with [Annex: Form 15-6] for the relevant candidates for the appointment or employment.

(2) Upon receiving a request for inquiry under paragraph (1), the Commission shall notify the relevant member of the fact by filling out a written notification of disciplinary record in [Annex: Form 15-7] without delay.

[September 14, 2021]

§27. Operation of Disciplinary Committee

(1) In relation to the operation of the Disciplinary Committee, the provisions of this Article shall apply, except as specifically provided for in [§25] of the Regulation and the Regulation on the Establishment and Operation of the Deliberation and Advisory Committee. (Amended on August 30, 2023)

(2) [Deleted on August 30, 2023]

(3) [Deleted on August 30, 2023]

(4) [Deleted on August 30, 2023]

(5) [Deleted on August 30, 2023]

(6) In cases where the chairperson of the Disciplinary Committee is absent or is unable to fulfill his/her responsibilities due to the unavoidable reasons, the chairperson may have one of the Committee members, who has been designated in advance, to act on behalf of him/her.

(7) When intending to call a meeting of the Disciplinary Committee, the Committee chairperson shall notify each of the Committee members the place and time of the meeting and the agenda items in writing at least three (3) days before the scheduled date of the meeting. Provided that, when it is deemed necessary to call a meeting urgently, this provision may not apply.

(8) [Deleted on August 30, 2023]

(9) The Chairperson may ask for the opinions of the Disciplinary Committee on the matters concerning the Committee deliberation and the improvement of related

regulations.

(10) The secretary of the Disciplinary Committee shall be the head of the department in charge in the Market Oversight Division. (Amended on August 30, 2023)

(11) The provision of [§26] of the Regulation shall apply *mutatis mutandis* to the prior notice to the Disciplinary Committee and the provision of [§26-2] of the Regulation shall apply *mutatis mutandis* to the cases of presenting the opinions, etc. at the Disciplinary Committee. Provided that, in the case where the date and time and place to state opinion at the Disciplinary Committee are notified together with the notification pursuant to [§26(1)] of the Regulation, [§26] of the Regulation shall not apply *mutatis mutandis*. (Amended on April 11, 2023)

(12) [Deleted on August 30, 2023]

(13) [Deleted on August 30, 2023]

(14) In cases where a member of Disciplinary Committee falls under the case noted in any of the following subparagraphs, the Disciplinary Committee shall dismiss the relevant member: [July 7, 2011] (Amended on August 30, 2023)

1. [Deleted on August 30, 2023]

2. After having been appointed to the Disciplinary Committee, the relevant member lost the qualifications noted in each subparagraph of [§25(2)] of the Regulation;

3. [Deleted on August 30, 2023]

4. [Deleted on August 30, 2023]

[Moved from Article 21 on September 14, 2021]

§28. Filing of Official Objection and Handling Thereof

(1) In cases where the party, to whom the disciplinary action, etc. pursuant to [§27(4)] of the Regulation has been imposed, intends to file an official objection, such party shall submit to the Commission a written appeal that contains each of the following information and the attached evidential documents, etc.: (Amended on November 30, 2006; February 3, 2009)

1. Name of the appellant;

2. Summary of disciplinary measures, etc. imposed; and

3. The reasons for appeal.

(2) [Deleted on February 11, 2011]

(3) The Commission may turn down the appeal, when the appellant falls under any of the following subparagraphs: [August 27, 2007; February 11, 2011]

1. Case where the appeal filed pursuant to paragraph (1) does not meet each of the conditions specified in paragraph (1); and

2. Case of falling under any of the following items. Provided that this regulation shall not apply if there are unavoidable reasons.

(a) Where there is no new fact that has significant influences on the result of disciplinary action, etc.; and

(b) Where the documents submitted, statements made, etc. by the party disciplined are falsified, altered, omitted distorted or deceptive.

(4) Pursuant to [§27(4)] of the Regulation, the Commission shall notify the appellant the outcome of the review of the appeal case or the dismissal of the appeal without delay. (Amended on November 30, 2006; February 3, 2009)

[Moved from Article 22 on September 14, 2021]

[§29. Methods and Guidelines for Imposition of Summary Fine](#)

(1) Pursuant to [§28(3)] of the Regulation, the Commission may impose summary fines against a member in cases where the member falls under any of the following subparagraphs and the level of violation is trivial: [November 30, 2006] (Amended on February 3, 2009; December 26, 2011; September 13, 2013; April 18, 2016; September 23, 2019)

1. Case of violating matters concerning trading of treasury stocks of listed companies that are stipulated in the KOSPI Market Business Regulation and the Enforcement Rules thereof, KOSDAQ Market Business Regulation, the Enforcement Rules thereof, KONEX Market Business Regulation and Enforcement Rules thereof, and the business standards of multilateral trading companies. Provided that, this provision shall not apply to the case of noncompliance with the obligation to open an account for treasury stock trade or submission of request for treasury stock trade. (Amended on February 27, 2025)

2. [Deleted on September 23, 2019]

3. Case of violating matters related to the methods of placing orders and quotations that are stipulated in the KOSPI Market Business Regulation and the Enforcement Rules thereof, the KOSDAQ Market Business Regulation and the Enforcement Rules thereof, KONEX Market Business Regulation and the Enforcement Rules thereof, and the Derivatives Market Business Regulation and the Enforcement Rules thereof,

and the business standards of multilateral trading companies; (Amended on February 27, 2025)

4. Case of violating matters related to the methods of accepting the entrustments that are stipulated in the KOSPI Market Business Regulation and the Enforcement Rules thereof, the KOSDAQ Market Business Regulation and the Enforcement Rules thereof, KONEX Market Business Regulation and the Enforcement Rules thereof, and the Derivatives Market Business Regulation and the Enforcement Rules thereof, and the business standards of multilateral trading companies; and (Amended on February 27, 2025)

4-2. Case of violating matters related to the limitation of the quantity of open interests that are stipulated in the Derivatives Market Business Regulation and the Enforcement Rules thereof;

4-3. Case of violating matters related to the limitation of the accumulated quotation quantity that is stipulated in the Derivatives Market Business Regulation and the Enforcement Rules thereof; and

5. Additionally, as a minor breach of the regulations, cases where the Chairperson deems it necessary to impose summary penalty.

(2) When imposing summary fines, the Chairperson shall determine the amount in accordance with [Annex 2], while taking into account the nature, frequency and extent of the violation and voluntary efforts of the relevant member. (Amended on November 30, 2006)

(3) Where a summary fine is imposed pursuant to the provisions of paragraphs (1) and (2), it shall be made in accordance with [Annex: Form No. 16]. In such cases, the deadline for payment of the summary fine shall be within one (1) month from the date when the relevant member was notified of the imposition of the summary fine. (Amended on November 30, 2006; February 3, 2009)

(4) Provisions of [§22(3)] shall apply *mutatis mutandis* to the case where a member who is subject to a summary fine has failed to pay the relevant fine by the payment deadline. [February 11, 2011]

(5) The Chairperson shall separately determine matters necessary for the use and management of the summary fine. [January 30, 2024]

[Moved from Article 23 on September 14, 2021]

[§30. Delegation of Authority](#)

(1) Pursuant to [§29(10)] of the Regulation, the matter that the Commission delegates to the Chairperson because of the urgency shall refer to the matter that must be managed at once, without delay, as in the case where the calling of the Commission meeting is difficult for an extended period of time due to a natural disaster, earthquake, war, accident and sudden change in economic condition, etc. and the situation similar thereto.

(2) Pursuant to [§29(10)] of the Regulation, the minor matter that the Commission delegates to the Chairperson shall refer to each of the following matters: (Amended on February 11, 2011; September 13, 2013; November 23, 2022; January 30, 2024)

1. The matters relating to the submission of the withdrawal request according to [§9(1)] of the Regulation and approval thereof;
2. The matters relating to the decision on whether or not it falls under the reasons for dismissing the appeal pursuant to [§22(3)];
3. The matters relating to the payment of the monetary award in the case where the payment amount is not more than KRW 100 million (amount before deducting award already paid) or where deliberation or resolution is made by the Commission on the identical report;
4. Matters related to the use and management of the summary fine; and
5. Matters that the Commission deems it minor.

[November 30, 2006] [Moved from Article 24 on September 14, 2021]

§31. Public Opinion Gathering

Public opinion gathering pursuant to [§29-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

[May 7, 2020] [Moved from Article 25 on September 14, 2021]

ADDENDA
(January 24, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on the date the Exchange is incorporated.

§2. Exceptions to the Criteria for Disciplinary Action against Members

Until two (2) years have passed since the incorporation date of the Exchange, “two (2) years” in [§14(1)1c, 2d, 3d, 4d & 5d] shall be deemed “one (1) year”.

§3. Interim Measures for the issues subject to investigation or surveillance, etc.

The issues and members that have been chosen for investigation or inspection pursuant to the Enforcement Rules of the Business Regulation of the Korea Stock Exchange, the Enforcement Rules of the Futures Regulation of the Korea Stock Exchange, the Enforcement Rules of the Business Regulation on the KOSDAQ Market, and the Enforcement Rules of the Business Regulation of the Korea Futures Exchange, before the effective date of these Enforcement Rules, shall be deemed as having been identified for the investigation and inspection pursuant to these Enforcement Rules.

§4. Interim Measures for Disciplinary Actions, etc. against Members

The details of disciplinary actions and punitive measures taken against the unlawful, illegitimate or wrongful conducts before the effective date of these Enforcement Rules shall be in accordance with the Enforcement Rules of the Business Regulation of the Korea Stock Exchange, the Enforcement Rules of the Futures Regulation of the Korea Stock Exchange, the Enforcement Rules of the Business Regulation on the KOSDAQ Market, and the Enforcement Rules of the Business Regulation of the Korea Futures Exchange.

§5. Interim Measures for Reporting by Members, etc.

Reporting by the members, the requests or demands made to the members, and the preventive activities against unfair trading and the related measures, etc. pursuant to the Enforcement Rules of the Business Regulation of the Korea Stock Exchange, the Enforcement Rules of the Futures Regulation of the Korea Stock Exchange, the Enforcement Rules of the Business Regulation on the KOSDAQ Market and the Enforcement Rules of the Business Regulation of the Korea Futures Exchange, which were made or taken before the effective date of these Enforcement Rules, shall be deemed to have been made or taken pursuant to these Enforcement Rules.

ADDENDA
(March 24, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on March 24, 2005.

§2. Exceptions to the Term of the Disciplinary Committee Members

Notwithstanding the amended provisions of [§21(1)], in case of the members of the Disciplinary Committee that is established for the first time since this Enforcement Rule became effective, the term of one half of the Committee members shall be one (1) year from the appointment date according to the decision made by the Chairperson at the time of appointment.

ADDENDUM
(July 29, 2005)

These Enforcement Rules shall become effective on July 29, 2005.

ADDENDA
(November 30, 2006)

§1. Effective Date

These Enforcement Rules shall become effective on December 1, 2006. Provided that the amended provisions of [§23] and Annex 2 shall become effective on January 1, 2007.

§2. Interim Measure for the Criteria for Disciplinary Measures against Members and Requesting Members to Take Disciplinary Actions

The application of amended provisions of [§14(3) and (4)] shall begin with the case for which the inspection is scheduled after January 1, 2007.

§3. Transitional Measures concerning Imposition of Summary Fines

The application of amended provisions of [§23] and Annex 2 shall begin with the activity that infringed the regulations after the effective date of these Enforcement Rules.

ADDENDA
(August 27, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on September 3, 2007.

§2. Example in Applying the Provisions on Filing an Appeal

The amended provisions of [§21-2(2)3] shall apply starting with the disciplinary measures imposed for the first time after these Enforcement Rules became effective.

§3. Interim Measure for the Designation of Investment Alert Issue

The issues that have been designated as abnormally rising issue pursuant to [§133(1)1] of the Enforcement Rules of the Stock Market Business Regulation and [§54(1)] of the Enforcement Rules of the KOSDAQ Market Business Regulation shall be construed as the issues designated as investment alert issue pursuant to the amended provision of [§3-3(1)1] on the date of designation as abnormally rising issue.

ADDENDA (October 16, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on November 1, 2007.

§2. Example in Applying the Provisions on Disciplinary Measures against Members

The amended provisions of [§14(1)] shall apply from the disciplinary measure that the Commission imposes for the first time after these Enforcement Rules became effective.

ADDENDA (February 19, 2008)

§1. Effective Date

These Enforcement Rules shall become effective on February 25, 2008.

§2. Example in Applying Imposition of Disciplinary Actions against Members

The amended provisions of paragraph (9)2b(4) of [Annex 1] shall apply starting with the member fines imposed by the Disciplinary Committee for the first time after the effective date of these Enforcement Rules.

ADDENDA (June 27, 2008)

§1. Effective Date

These Enforcement Rules shall become effective on June 30, 2008. Provided that the amended provision of [§6-3] shall become effective on August 25, 2008

§2. Example in Paying the Monetary Award

The amended provision of [§6-3] shall apply starting with the first reporting on unfair trading that is received after these Enforcement Rules became effective.

§3. Case of Application of Provisions on Imposition of Summary Fines

The amended provision of [Annex 2] shall apply starting with the inspection that is conducted after the effective date of these Enforcement Rules.

ADDENDA (July 24, 2008)

§1. Effective Date

These Enforcement Rules shall become effective on July 28, 2008.

§2. Interim Measures for the Designation as Investment Caution Issue

The issues that have been designated or been warned of designation as investment caution issue, investment alert issue or investment risk issue shall be deemed to have been warned or designated pursuant to the amended provisions of [§3, §3-3 and §3-4].

ADDENDUM (November 13, 2008)

These Enforcement Rules shall become effective on December 1, 2008.

ADDENDA (February 3, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on February 4, 2009. Provided that the amended provision of [§2-2] shall be put into effect on February 16, 2009.

§2. Exception Concerning the Request for Preventative Measures

The amended provision of [§2-2(3)] shall apply starting with the first preventative

measures that the Commission has requested after the effective date of these Enforcement Rules.

§3. Exception concerning the Notification of Outcome of Action Taken on the Request for Disciplinary Action

The amended provision of [§19-2(2)] shall apply starting with the first request for disciplinary action that the Commission has sent after the effective date of these Enforcement Rules.

ADDENDA (March 27, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on April 1, 2009

§2. Exceptions in Application

The amended provision of [§23] and Annex 2 shall apply starting with the first violation of the quantity limit placed on open positions after the effective date of these Enforcement Rules.

ADDENDA (November 27, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on December 14, 2009

§2. Exceptions in Designation as Investment Alert Issue, etc.

Except for the issues traded intensively by a few branch offices or accounts, the issue designated or notified in advance of designation as investment alert issue pursuant to the amended provision of [§3-3(1)3 & (2)3] shall start with the issue designated or notified in advance of designation after the effective date of these Enforcement Rules.

§3. Interim Measures for Designation as Investment Alert Issue, etc.

The issue that has been designated or notified of designation as investment alert issue or investment risk issue when these Enforcement Rules put into effect shall be construed as the issue designated or notified of designation as investment alert issue or investment risk issue respectively pursuant to the amended provision of [§3-3 & §3-4].

ADDENDA
(May 31, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on June 1, 2010.

§2. Case of Application of Provisions on Imposition of Summary Fines

The amended provisions of [Annex 2] shall apply starting with a case of violation of the relevant regulation after the effective date of these Enforcement Rules.

ADDENDA
(February 11, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on February 14, 2011. Provided that the amended provisions of [§3, §3-3, §3-4, §3-5 and §3-7] shall be put into effect on February 21, 2011.

§2. Exceptions in Requesting Trading Suspension of Investment Risk Issue

The amended provisions of [§3-5] shall apply starting with the first issue being designated as investment risk issue after the effective date of these Enforcement Rules.

§3. Exceptions in Applying the Guidelines for Reward Payment, etc.

The amended provisions of [§6-3] shall apply starting with the unfair trade reported for which the decision on reward payment has not been made as of the effective date of these Enforcement Rules.

§4. Case of Application of Provisions on Imposition of Summary Fines

The amended provision of [§23] shall apply starting with the summary fine to be imposed after the effective date of these Enforcement Rules.

§5. Interim Measures for Designation as Investment Caution Issue, etc.

The issues that have already been designated as investment caution issue pursuant to [§3(4)6] as of the effective date of these Enforcement Rules shall deem that they have been designated as investment caution issue pursuant to the amended provisions of [§3] on the effective date of these Enforcement Rules.

ADDENDA
(December 26, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on January 1, 2012.

§2. Case of Application of Provisions on Disciplinary Measures against Members

The amended provisions of [§14(1)6(c)], provisos to [§18(1)3] and [§23(1)1] shall apply starting with the case where the summary fine is imposed after these Enforcement Rules is put into effect.

3. Case of Application of Provisions on Imposition of Member Fines

The amended provisions of Annex 1 shall apply starting with the first member fine imposed after these Enforcement Rules is put into effect.

ADDENDA
(March 8, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on March 12, 2012.

§2. Exception in Designation as Investment Alert Issue or Investment Risk Issue

(1) The amended provisions of [§3-3 and §3-4] shall apply starting with the issue that is designated as an investment alert issue or investment risk issue or the issue was informed of designation as an investment alert issue or investment risk issue in advance on a trading day after the effective day of these Enforcement Rules

(2) The amended provisions of [§3-5 and §3-6] shall apply starting with the issue designated as an investment alert issue or investment risk issue on a trading day coming after the effective date of these Enforcement Rules.

§3. Interim Measures in Designation as Investment Alert Issue or Investment Risk Issue, etc.

(1) In case of falling under an issue designated as an investment alert issue or investment risk issue or an issue informed of designation as an investment alert issue or investment risk issue in advance pursuant to [§3-3 and §3-4] of the former version of these Enforcement Rules on a trading day before the effective day of these Enforcement Rules, [§3-3 and §3-4] of the former version of these Enforcement Rules shall apply

thereto.

(2) In the case of being designated as an investment risk issued pursuant to [§3-4] of the former version of these Enforcement Rules on a trading day before the effective day of these Enforcement Rules, with regard to the request for trading suspension of relevant issue, [§3-5] of the former version of these Enforcement Rules shall apply thereto.

§4. Exception in Designation as Investment Alert Issue or Investment Risk Issue, etc.

In cases where, after having been imposed of measures pursuant to [§2] of this Addenda, the same measure is imposed pursuant to [§3] of this Addenda (including the case of being imposed of both measures at the same time), [§3] of this Addendum shall not apply.

ADDENDUM (April 10, 2012)

These Enforcement Rules shall become effective on April 23, 2012.

ADDENDA (July 3, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on July 9, 2012.

§2. Exception in Giving Monetary Award

The amended provisions of [§6-3] shall apply starting with the information on unfair trading received after the effective date of these Enforcement Rules.

ADDENDUM (August 27, 2012)

These Enforcement Rules shall become effective on September 3, 2012.

ADDENDUM (September 12, 2012)

These Enforcement Rules shall become effective on September 13, 2012.

ADDENDA
(October 5, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on October 8, 2012. Provided that, of the provisions of [§3(1) through (3)], the amended provisions related to ELWs shall be put into effect on October 29, 2012.

§2. Exception Related to Designation as Investment Caution Issue, etc.

(1) The amended provisions of [§3, §3-3 and §3-4] shall apply starting with the issue that is notified of impending designation or designated as investment caution issue, investment alert issue and investment risk issue or is released from such designations subsequent to the trading day after the effective date of these Enforcement Rules

(2) In case of falling under notification of impending designation or designation as investment caution issue, investment alert issue and investment risk issue or release from such designations pursuant to former versions of [§3, §3-3 and §3-4] prior to the trading day before the effective date of these Enforcement Rules, such case shall comply with the former versions of [§3, §3-3 and §3-4].

(3) In cases where after the imposition of measure pursuant to paragraph (1), the same measure pursuant to paragraph (2) is imposed (including the case where both measures are imposed at the same time), the measure pursuant to paragraph (2) shall not be imposed.

ADDENDUM
(December 27, 2012)

These Enforcement Rules shall become effective on January 1, 2013.

ADDENDA
(June 17, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2013.

§2. Exception to Investment Caution Issues

The provision of [§3] shall apply to the KONEX-listed issues from the date specified by the Chairperson of the Market Oversight Commission.

ADDENDA
(September 13, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on September 23, 2013. Provided that the amended provisions of [§7] [§8] and [§23] shall become effective on September 17, 2013.

§2. Exception in Giving Monetary Award

The amended provisions of [§6-3] and [§24] shall apply to the reported case accepted since the effective date of these Enforcement Rules.

§3. Case of Application of Provisions on Imposition of Summary Fines

The amended provisions of [§23] shall apply starting with a case where the summary fine is imposed after these Enforcement Rules became effective.

ADDENDUM
(December 30, 2013)

These Enforcement Rules shall become effective on January 2, 2014.

ADDENDUM
(June 26, 2014)

These Enforcement Rules shall become effective on June 30, 2014.

ADDENDUM
(June 31, 2014)

These Enforcement Rules shall become effective on August 4, 2013.

ADDENDUM
(October 31, 2014)

These Enforcement Rules shall become effective on November 17, 2013.

ADDENDA
(November 27, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on December 1, 2014.

§2. Application of Provisions on Designation of Investment Caution Issues, etc.

(1) These Enforcement Rules shall apply starting with the issue that is notified of impending designation or designated as investment caution issue, investment alert issue and investment risk issue or is released from such designations subsequent to the trading day after the effective date of these Enforcement Rules

(2) In case of falling under notification of impending designation or designation as investment caution issue, investment alert issue and investment risk issue or release from such designations pursuant to former Enforcement Rules prior to the trading day before the effective date of these Enforcement Rules, such case shall comply with the former Enforcement Rules.

ADDENDA
(June 10, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on June 15, 2015.

§2. Interim Measures to the Request of Trading Suspension of Investment Alert Issue

In cases where the Commission makes a prior notice that the trading may be suspended before the effective date of these Enforcement Rules, the request for the trading suspension shall comply with the former Enforcement Rules despite of amended provision of [§3-5].

ADDENDUM
(June 30, 2015)

These Enforcement Rules shall become effective from the date on which the Regulation (resolved at the Commission on June 5, 2015) becomes effective.

ADDENDUM
(November 20, 2015)

These Enforcement Rules shall become effective on November 23, 2015.

ADDENDA
(December 11, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on December 14, 2015.

§2. Application of Provisions on Investment Caution Issues

For the issue to which a cause for trading suspension occurred as having been designated as the investment alert issue pursuant to the former Enforcement Rules before the effective date of these Enforcement Rules, the former Enforcement Rules shall apply until being released from the designation.

ADDENDUM
(March 29, 2016)

These Enforcement Rules shall become effective on March 30, 2016.

ADDENDA
(April 18, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on April 20, 2016.

§2. Case of Application of Provisions on Designation of Investment Alert Issues, etc.

The amended provisions of paragraph (1)7 of [§3-3], paragraphs (2)6 and (5)1d of the same Article shall apply starting with the issue that is released from the designation as investment alert issue after the effective date of these Enforcement Rules.

§3. Application of Provisions on Imposition of Summary Fines

The amended provisions of [§23(1)4-3] shall apply starting with the violation that occurs after the effective date of these Enforcement Rules.

ADDENDUM

(May 31, 2016)

These Enforcement Rules shall become effective on June 1, 2016.

ADDENDA
(February 10, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on February 13, 2017.

§2. Application of Provisions on Designation of Investment Caution Issues

The amended provisions of paragraph (4)7 of [§3] shall apply starting with the issue that is designated as a rumor-participating issue after the effective date of these Enforcement Rules.

ADDENDUM
(May 7, 2017)

These Enforcement Rules shall become effective on March 13, 2017.

ADDENDUM
(August 11, 2017)

These Enforcement Rules shall become effective on August 14, 2017.

ADDENDUM
(September 14, 2017)

These Enforcement Rules shall become effective on September 18, 2017.

ADDENDUM
(December 18, 2017)

These Enforcement Rules shall become effective on January 2, 2018.

ADDENDA

(February 2, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on February 6, 2018.

§2. Application of Applying Provisions

The amended provisions of the proviso to [§3-7(1)] and [§3-7(2)] shall apply starting with the case where a KONEX-listed issue is newly listed on the KOSPI or KOSDAQ market after the effective date of these Enforcement Rules.

ADDENDA
(September 7, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2018.

§2. Application of Provisions on Imposition of Member Fine

The amended provisions of [Annex 1] shall apply starting with the case of first imposing member fine after the effective date of these Enforcement Rules.

ADDENDUM
(December 11, 2018)

These Enforcement Rules shall become effective on December 24, 2018.

ADDENDUM
(September 23, 2019)

These Enforcement Rules shall become effective on September 23, 2019.

ADDENDUM
(March 18, 2020)

These Enforcement Rules shall become effective on March 23, 2020.

ADDENDUM
(May 7, 2020)

These Enforcement Rules shall become effective on May 8, 2020.

ADDENDUM
(March 12, 2021)

These Enforcement Rules shall become effective on March 15, 2021. However, the provisions of [§13-3] shall be effective from April 6, 2021.

ADDENDA
(September 14, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2021.

§2. Transitional Measures concerning Disciplinary Action and Request for Disciplinary Measures against Member and Request for Member to Take Disciplinary Measures against Officers and Employees

Notwithstanding the amended provisions of these Enforcement Rules, the provision at the time of the violation shall apply when the criteria for disciplinary action and the request for disciplinary measures against members and the request for members to take disciplinary measures against officers and employees apply to violations of the regulations prior to the enforcement of these Enforcement Rules.

ADDENDA
(December 15, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on December 27, 2021.

§2. Application of Limit on Small Award Payment

The amended provision of [§6-3(2)] shall apply to the cases where there was a report on unfair trading since the effective date of these Enforcement Rules but no monetary award has been made.

ADDENDA
(June 15, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on June 16, 2021.

§2. Application case

The amended provision of paragraph (1)c of Annex 2 shall apply from the case of violation of the indication of quotations for program trading after the effective date of these Enforcement Rules.

ADDENDA
(November 23, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on November 28, 2022.

§2. Transitional Measures concerning Designation of Investment caution Issue and Investment Risk Issue

Notwithstanding the amended provisions of [§3-3] and [§3-4], the previous provisions shall apply to the cases corresponding to designation or notice of designation of investment caution issue and investment risk issue by calculating from the trading date prior to the effective date of these Enforcement Rules.

§3. Application Case concerning Payment of Monetary Award

The amended provisions of [§6-3(1)(4) and (5)] and [§30(2)3] shall apply where a report on the suspicion of unfair trading was received at the time this regulation entered into force, but the monetary award was not provided.

§4. Application Case concerning Imposition Standard of Member Fine

The amended provisions in Annex 1 shall apply from the first case of imposing the member fine after the effective date of these Enforcement Rules.

ADDENDUM

((Regulation No. 2107 / February 8, 2023)

These Enforcement Rules shall become effective on March 2, 2023.

ADDENDUM

((Regulation No. 2119 / April 11, 2023)

These Enforcement Rules shall become effective on May 2, 2023.

ADDENDA

((Regulation No. 2127 / June 7, 2023)

§1. Effective Date

These Enforcement Rules shall become effective on June 8, 2023.

§2. Application Case concerning Reduction of Disciplinary Action Based on Voluntary Report of Violation or Illegal Act

The amended provisions of [§16] and [Annex 1] shall apply to cases where a voluntary report of a member on violations or illegal acts is made prior to the enforcement of these Enforcement Rules and where disciplinary action is taken against the member after the enforcement of these Enforcement Rules.

ADDENDUM

((Regulation No. 2155 / August 30, 2023)

These Enforcement Rules shall become effective on September 1, 2023.

ADDENDUM

((Regulation No. 2196 / December 12, 2023)

These Enforcement Rules shall become effective on December 26, 2023.

ADDENDUM

((Regulation No. 2206 / January 30, 2024)

These Enforcement Rules shall become effective on February 16, 2024.

ADDENDA
((Regulation No. 2212 / February 16, 2024)

§1. Effective Date

These Enforcement Rules shall become effective on February 19, 2024.

§2. Application Case concerning Payment of Monetary Award

The amended provisions of [§6-3(1) and (5)] shall apply to cases where an unfair transaction report was received at the time of enforcement of these regulations, but no monetary award was paid.

ADDENDUM
((Regulation No. 2228 / May 21, 2024)

These Enforcement Rules shall become effective on May 27, 2024.

ADDENDA
((Regulation No. 2253 / October 15, 2024)

§1. Effective Date

These Enforcement Rules shall become effective on October 16, 2024.

§2. Application Case concerning Disciplinary Actions against Members

The amended provisions of [§15], [§15-2], and [Annex 1] shall apply from the first case where a disciplinary action is taken against a member after the enforcement of these Enforcement Rules.

ADDENDUM
(Regulation No. 2296 / February 27, 2025)

These Enforcement Rules shall become effective on March 4, 2025.

ADDENDUM
(Regulation No. 2310 / March 13, 2025)

These Enforcement Rules shall become effective on March 31, 2025.

ADDENDA
((Regulation No. 2329 / May 15, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on June 9, 2025.

ADDENDUM
(Regulation No. 2372 / October 28, 2025)

These Enforcement Rules shall become effective on October 28, 2025.

ADDENDA
((Regulation No. 2382 / December 26, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on December 29, 2025.

§2. Transitional Provisions

If an issue designated as an investment alert issue pursuant to [§3-3(2)8] of the previous regulations prior to the enforcement of these Enforcement Rules falls under [§3-3(2)8(d)] of the revised regulations at the time of enforcement, the designation as an investment alert issue shall be removed from the enforcement date.

ADDENDA
((Regulation No. 2400 / January 29, 2026)

§1. Effective Date

These Enforcement Rules shall become effective on January 29, 2026.

§2. Transitional Measures Concerning the Non-Refund of Member Fines

Regarding the refund of fines already paid by members prior to the effective date of these Enforcement Rules, the previous provisions shall apply, notwithstanding the revised provisions of subparagraph 4/b of [Annex 1].

ADDENDUM

(Regulation No. 2435 / April 24, 2026)

These Enforcement Rules shall become effective on April 27, 2026.

ADDENDUM

(Regulation No. 2446 / May 19, 2026)

These Enforcement Rules shall become effective on May 20, 2026.

ADDENDA

((Regulation No. 2448 / May 26, 2026))

§1. Effective Date

These Enforcement Rules shall become effective on May 27, 2026.

§2. Application Case concerning Designation and Prior Notice of Designation of Investment Alert Issue

In the case where an issue that could be designated as an investment alert issue or given notice of designation under previous regulations on the trading day immediately preceding the effective date of these regulations falls under [§3-3(4)3] of the amended regulations at the time of the enforcement, such designation as an investment alert issue and prior notice of designation shall not be given on the effective date.

ADDENDA
((Regulation No. 2452 / June 26, 2026))

§1. Effective Date

These Enforcement Rules shall become effective on June 29, 2026.

§2. Application Case concerning Payment of Monetary Award

The amended provisions of [§6-3] shall apply to cases where a report of unfair trade was received prior to the enforcement of these Enforcement Rules, even if a decision on the payment of a monetary award was not made at the time of enforcement.

[Annex: Form No. 1] Written Report on Status of Trading of Treasury Stocks by
Major Shareholders of Listed Corporations

(Amended on February 3, 2009; April 10, 2012)

**Written Report on Status of Trading of Treasury Stocks, etc. by Major
Shareholders, etc. of Listed Corporations**

To: Chairperson of the Market Oversight Commission of Korea Exchange

Pursuant to [§7] of the Market Oversight Regulation and [§4] of the Enforcement Rules thereof, we hereby report the details of the stocks issued by a listed company and the securities etc. stipulated in [§4(1)] of the Enforcement Rules, which were traded by the officers, employees, major shareholders of the relevant company through each of our head office, branch office and business office.

Month / Day / Year

Name & Seal

Representative Director (CEO) of
xxxx Securities Company

Trade type	Trading date	Name of account holder	Account No.	Resident Registration	Relationship to Company	Issue Name	Issue Code	Branch Name	Sale/Buy	Quantity	Note

Note:

1. Trade type refers to ordinary trade and short-selling.
2. Short-selling refers to short-selling by the officers and employees of a listed company pursuant to [§208(2)1a] of the Financial Investment Services and Capital Market Act.

[Annex: Form No. 2] Written Report on Rumors or Indication/Phenomenon of Abnormal Trading Likely to Undermine Fair Trading Practices

(Amended on February 3, 2009; April 10, 2012)

**Written Report on Rumors or Indication/Phenomenon of Abnormal Trading
Likely to Undermine Fair Trading Practices**

To: Chairperson of the Market Oversight Commission of Korea Exchange

Pursuant to [§7] of the Market Oversight Regulation and [§5] of the Enforcement Rules thereof, we hereby report the rumors or the indications or phenomena of abnormal trading that are likely to undermine the fair trading practices.

Month / Day / Year

Name & Seal

Representative Director (CEO) of
xxxx Securities Company

Name of Issue	Details of rumors and indication of abnormal trading	Remarks

Note: The details should include the specifics such as the name of securities company implicated and date.

[Annex: Form No. 3] [Deleted on February 3, 2009]

[Annex: Form No. 4] Written Report on Status of Civil Appeal and Dispute and Result of Handling Thereof

(Amended on February 3, 2009; April 10, 2012)

Written Report on Status of Civil Appeal and Dispute and Result of Handling Thereof

(for xx year and xx month)

To: Chairperson of the Market Oversight Commission of Korea Exchange

Pursuant to [§7] of the Market Surveillance Regulation and [§5] of the Enforcement Rules thereof, we hereby report the status of civil appeals and disputes filed against our Company and the results of handling thereof.

Month / Day / Year

Name & Seal

Representative Director (CEO) of
xxxx Securities Company

Serial No.	Relevant head, branch or business office	Date occurred	Relevant party	Main points of appeal/dispute	Amount involved	Circumstances	Result of internal handling	Causes and preventative measures	Other reference information

Attachments:

1. Details of the measures taken against the employees.
2. Information about the relevant person.

[Annex: Form No. 5] Request for Voluntary Withdrawal from Investigation and Inspection

(Amended on February 3, 2009)

Request for Voluntary Withdrawal from Investigation and Inspection

To: Chairperson of the Market Oversight Commission of Korea Exchange

Pursuant to [§9] of the Market Oversight Regulation and [§6] of the Enforcement Rules thereof, I hereby apply for the voluntary withdrawal from the investigation and inspection of issue (member) involved due to the reasons stated below and seek your approval of this request.

Affiliation		Position title		Name	
Investigation/Inspection					
Relevant Issue (Relevant Member)					
Period desired					
Reasons for voluntary withdrawal					

.

Month / Day / Year

Applicant (Name & Seal)

[Annex: Form No. 6] Basic Information on Customer

(Amended on February 3, 2009; April 10, 2012; May 21, 2024)

Basic Information on Customer

To: Chairperson of the Market Oversight Commission, the Korea Exchange

Pursuant to [§14] of the Market Oversight Regulation and [§8(1)] of the Enforcement Rules thereof, we hereby submit the basic information on the customers as follows.

Month / Day / Year

Name & Seal

Representative Director (CEO) of

xxxx Securities Company

Name of Member	Branch Office	Account number	ID	Customer's Name	Date the account opened	Credit type	Postal code (home)	Address (home)	Postal code (office)	Address (office)	Name of institution (office)	e-mail address	Telephone no. (home)	Telephone no. (office)	Telephone no. (mobile)	Securities savings owned

Notes:

1. ID refers to the resident registration number or the business registration number. For the foreigners, it refers to the identification method according to Article 6-1(14) of the Financial Investment Business Regulations.
2. Securities savings refer to the employee securities savings.

[Annex: Form No. 7] [Deleted on November 30, 2006]

[Annex: Form No. 8] Request for Appearance

(Amended on February 3, 2009)

Request for Appearance

Name & Position Title (of person)

xxxx Company

Address

Dear XXXXX;

RE: REQUEST FOR APPEARANCE

Pursuant to [§404] of the Financial Investment Services and Capital Market Act and [§14] and [§17] of the Market Oversight Regulation, in order to determine the abnormal trading activities and the trading circumstances of an issue suspicious of abnormal trading or to confirm the facts relating to the compliance with the rules and regulations governing the business of the Exchange, it is necessary for us to hear your testimony on xxx case that is under investigation (inspection). Thus, we request you to appear in the xxx Department of the Market Oversight Division as indicated below (please bring this Request for Appearance and your resident identification card). Please be informed that the member and its officer and employee who do not comply with this request may be disciplined according to [§21 and §22] of the Market Oversight Regulation.

1. Reasons for the request:
2. Date and time to appear:
3. Place to appear:

I thank you for your kind cooperation on this matter.

Yours sincerely,

Chairperson (name & seal)
Market Oversight Commission
Korea Exchange

[Annex: Form No. 9] Confirmation Statement

(Amended on February 3, 2009)

CONFIRMATION STATEMENT

Subject:

Details:

Month / Day / Year
Confirmed by
Name & seal
Position title
xxxx Security Company

(Relevant persons)

Affiliation	Position	Name	Duration of service	Job responsibility	Current workplace	Note

(Amended on November 30, 2006)

Address: _____

Affiliation: _____

Position (current): _____

Name: _____

The above-named person freely provided following statements in connection with xxx case during the interview held by xxxx (name) at _____ on mm/dd/yyyy:

A:

A:

A:

After the interview, the interviewee has reviewed/read this record and found that the above is the true and accurate record of the statements made, no error in writing was found and no further correction is required.

Interviewee:	Name	Position	(seal)
Market surveillance staff:	Name	Position	(seal)
Witness:	Name	Position	(seal)

[Annex: Form No. 11] Questionnaire

(Amended on November 30, 2006; February 3, 2009)

QUESTIONNAIRE

Serial No.	
Subject	
Month / Day/ Year To: Member: xxx Securities (Futures) Company Position: Name: From: The Korea Exchange Position of market surveillance staff: Name & seal of market surveillance staff You are requested to provide answers to the following questions by mm/dd/yyyy. Questions: Answers:	

[Annex: Form No. 12] Inspection instruction

(Amended on November 30, 2006; February 3, 2009)

Inspection Instruction

No.

INSPECTION INSTRUCTION

In accordance with [§404] of the Financial Investment Services and Capital Market Act and [§17] of the Market Oversight Regulation, we hereby issue an instruction to conduct an inspection of the member as follows:

1. Member to be inspected:
2. Inspection method:
3. Inspection period: From mm/dd/yyyy to mm/dd/yyyy (for xx days)
4. Matters to be inspected:
5. Market surveillance staff: xxx (Name) and xxx other persons

Month / Day/ Year

Chairperson of the Market Oversight Commission of Korea Exchange

[Annex: Form No. 13] [Deleted on March 7, 2017]

[Annex: Form No. 14] On-Site Measures

(Amended on February 3, 2009)

ON-SITE MEASURES

1. Relevant Member: xxx Branch or Department, xxx Securities Company
2. Inspection Duration: from mm/dd/yyyy to mm/dd/yyyy (for xx days)
3. Matters inspected:
4. Details of on-site measures:

Type of measures	Details of measures imposed		Note
	Subject	Details	

Attachments:

Month / Day / Year

Head of Inspection Team (seal)

Market Oversight Division
Korea Exchange

Head of branch office or department (seal)
xxx Securities/Futures Company

[Annex: Form No. 14-2] Naked Short Selling Detection System Report

[March 13, 2025]

Naked Short Selling Detection System Report

(Report in accordance with Article 208-7 of the Enforcement Decrees of the Financial
Investment Services and Capital Market Act)

To Korea Exchange.

Date of reporting:

Reporter:

1. Matters on Stock

Name of Issue ¹⁾		Type of Market ²⁾	☐ KOSPI market ☐ KOSDAQ market ☐ KONEX market	Securities code ³⁾	
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Note.

- 1) Name of stock listed on the stock exchange
- 2) Select from KOSPI, KOSDAQ, or KONEX market
- 3) Six-digit securities short code

2. Matters on Reporter

Reporter name (Company name)		Short selling registration number ²⁾	
Nationality ¹⁾		Independent trading unit	
Phone number		Email address	
Business registration number, etc. ³⁾		Classification ⁴⁾	
Name of securities firm with which reporter is trading ⁵⁾			
Business contact point ⁶⁾	Company		Department
	Position		Name
	Phone number ⁷⁾		Email address

Note.

- 1) Name of the country where the reporter's main office is located
- 2) Short selling registration number issued by the Financial Supervisory Service
- 3) Enter business registration number for domestic company, the IRC issued by the governor of FSS for foreign company, and LEI for institutions using LEI.
- 4) Select from domestic securities firm, bank, asset management company, insurance company, other domestic institution, domestic general company, foreign bank, securities firm, collective investment vehicle, other foreign institution, and foreign general company.

- 5) Enter one of the securities companies with which the reporter is currently trading as of the date of submitting the report.
- 6) Enter the company, department, name, and position of the person who actually prepared the report or the person who prepared it on his/her behalf.
- 7) Enter a reachable phone number (if the person in charge of the work is an employee of the company, this means his/her direct phone number, not the main phone number of the company, or the extension number if there are any).

3. Matters on Balance

Date of occurrence of duty to report ¹⁾	Total balance quantity held ²⁾		Net position quantity ³⁾		Total balance quantity borrowed ⁴⁾		Lent balance quantity ⁵⁾		Lending and borrowing balance quantity ⁶⁾	
	Start	End	Start	End	Start	End	Start	End	Start	End

Note.

- 1) Enter the date on which reporting duty arises.
- 2)~6) Enter the balance quantity as of the start reference point (00:00 every business day) and the end reference point (24:00 every business day) on the date of duty to report.
- 3) Net position quantity = Total balance quantity held – Total balance quantity borrowed
- 6) Lending and borrowing balance quantity = Total balance quantity borrowed – Lent balance quantity

4. Matters on Intraday Change

※ Fill in below if there is information regarding daily transactions. The 'Date of occurrence of duty to report' and 'Time' items are required fields.

Date of occurrence of duty to report	Time ¹⁾	Borrowing ²⁾	Recall ³⁾	Lending ⁴⁾	Repaying ⁵⁾	Rights change	Others ⁷⁾

Note.

- 1) Enter the daily transactions in HHMMSSsss format (from 24:00 the previous day to 24:00 the current day).
- 2) Enter the quantity borrowed by reporter.
- 3) Enter the quantity recalled by reporter (in cases where the reporter requests a return of the lent portion).
- 4) Enter the quantity lent by reporter (external lending, internal lending if necessary, lending for collateral effect, etc.).
- 5) Enter the quantity repaid by reporter.
- 6) If the balance increases due to the reporter's exercise of rights, etc. (capital increase, etc.), enter a (+) sign. If the balance decreases (capital decrease, etc.), enter a (-) sign.
- 7) Enter the quantity of balance changes due to transactions other than those concluded on KRX or NXT, such as the reporter's over-the-counter transactions, ETF creation and redemption, and trading between independent trading units. Enter the increase as a (+) sign and the decrease as a (-) sign.

[Annex: Form No. 14-3] Certificate of Facts

[March 13, 2025]

Certificate of Facts

1. Matters on Reporter

Date	Name of reporter	Business registration number, IRC, LEI	Short selling registration number

2. Matters on Suspected Short Sale Violation

Issue name	Securities code	Type of market	Reporting date	Date of occurrence of duty to report	Reasons*

* Select one from the following : Naked short sales, violation of order type indication, violation of uptick rule, non-reporting, omission of reporting of some stocks, EOD-SOD difference, EOD net position, EOD lending balance difference

3. Reasons for Suspected Short Sale Violation, etc.

Please describe in detail.

e.g. The borrowing quantity was reported as 100 shares of Samsung Electronics (stock code: 005930) on May 2, 2025 at 09:05:10, resulting in a naked short sale.

- If the borrowing quantity is properly reflected (500 shares), there is no violation.

4. Others

Date:

Name of company:

Position of Reporting Manager:

Name of Reporting Manager: (seal)

[Annex: Form No. 14-4] Request for Submission of Documents

[March 12, 2021] (Amended on March 13, 2025)

Request for Submission of Documents

Date: Month/Day/Year

Dear XXXX Securities Company,

In order to verify the short sale violation, it is necessary for us to go through relevant documents, so please submit the following documents:

1. This request is pursuant to [§404(1)] of the Financial Investment Services and Capital Market Act, [§4(1)7(a)] of the Act on Real Name Financial Transactions and Confidentiality, [§19-3(1)] of the Market Oversight Regulation and [§13-3(1)] of the Enforcement Rules of the Market Oversight Regulation.

2.Reasons for the request:

3.Requested documents:

4.Submission deadline:

Yours sincerely,

Chairperson
Market Oversight Commission
Korea Exchange

[Annex: Form No. 15] Notice of Imposition of Member Fine

(Amended on February 3, 2009; September 14, 2021; June 15, 2022; January 30, 2024; May 15, 2025)

Notice of Imposition of Member Fine

1. Relevant Member: xxx Securities Company

2. Amount: KRW

3. Payment due date: mm/dd/yyyy

4. Payment method:

- Deposit method: Deposit the payment into the account of the Korea Exchange
- Account number: xxx Bank, 000-00-000000
- Name of account holder: The Korea Exchange
- Others: Deposit in cash or cashier's checks (excluding the current account checks) that can be cashed on the same day

5. Base and rationale for imposition of fine: The provisions of [§22] of the Market Oversight Regulation and [§14] of the Enforcement Rules thereof.

6. Others

a. Additional Charge: In case where a member fails to pay the member fine by the due date, the Commission shall collect a surcharge calculated by applying 6/100 per annum to the unpaid member fine amount from the day following the due date to the date before the date of payment, regardless of whether an objection is filed according to subparagraph b.

b. Formal objection: When there is an objection to the disciplinary action taken by the Market Oversight Commission, the member may file with the Market Oversight

Commission an official objection within thirty (30) days of receiving this notice of imposition of fine. In this case, an application and the evidential documents should be submitted pursuant to [§28] of the Enforcement Rules of Market Oversight Regulation.

Month / Day / Year

Chairperson of the Market Oversight Commission of Korea Exchange

[November 30, 2006] (Amended on February 3, 2009)

[illegible]

* Do not fill in “serial number”.

* In cases where the opinion is presented by appearing before the Commission (including the Disciplinary Committee; the same hereinafter), there is no need to prepare this written opinion statement.

* If the opinion statement is not submitted by 17:00 hours of the day before the meeting date of the Commission, it shall be deemed that there is no opinion statement.

Ethics Pledge

To the Chairperson of the Market Oversight Commission of Korea Exchange

I hereby affirm that I will comply with the obligation of confidentiality under Article 11 Duty of Confidentiality and the obligation of maintaining integrity under Article 13 of the Regulation on the Establishment and Operation of the Deliberation/Advisory Committee in conducting the deliberation duties of the Disciplinary Committee, and promise that I will notify the Chairperson of the Market Oversight Commission without delay in cases where I no longer meet the qualifications under the subparagraphs of Paragraph 2 of Article 25 of the Market Oversight Regulation or where I fall under any of the grounds for member disqualifications under Paragraph 2 of Article 27 of the Enforcement Rules of Market Oversight Regulation, and in the case of any violation of such notification, I will not file any objections to the measures including dismissal taken by the Committee based on the relevant regulations, etc., and will hold full responsibility for any damages caused by my violation of the obligations.

Month / Day / Year

Member of the Market Oversight Commission Disciplinary Committee: (Name &
Signature or Seal)

[Annex: Form No. 15-4] Written Affirmation of Non-existence of Causes for
Exclusion

[July 7, 2011]

Written Affirmation of Non-existence of Cause for Exclusion

Time of Deliberation	Month / Day / Year
Item for Deliberation	

To the Chairperson of the Market Oversight Commission of Korea Exchange

I, as a member of the Disciplinary Committee, hereby affirm that the causes for exclusion are not applicable to me, with regard to the above deliberation item, pursuant to the provisions of Paragraph (2) under Article 8 of the Regulation on the Establishment and Operation of the Deliberation/Advisory Committee, and Paragraph (3) under Article 27 of the Enforcement Rules of Market Oversight Regulation.

Month / Day / Year

Member of Market Oversight Commission Disciplinary Committee: (Name & Signature or Seal)

[Annex: Form No. 15-5] Written Request for Confirmation of Disciplinary Record
[June 26, 2014]

Written Request for Confirmation of Disciplinary Record

Person to be hired (appointed)	Name	
	Date of birth (as in the resident registration number)	
Scheduled date of hiring (appointment)	Month / Day / Year	
To the Chairperson of the Market Oversight Commission of Korea Exchange A confirmation of the disciplinary record of the above person to be hired (appointed) is requested pursuant to Paragraph (1) under Article 26 of the Enforcement Rules of Market Oversight Regulation. * Appendix: A copy of Personal Information Release Consent Form Month / Day / Year		

[Annex: Form No. 15-6] Written Consent on Provision of Personal Information

[June 26, 2014]

Written Consent on Provision of Personal Information

Name		Date of Birth	
Address	(Contact info)		
To the Chairperson of the Market Oversight Commission of Korea Exchange I understand that Company ○○ will file the Request for Confirmation of Disciplinary Record on myself to Korea Exchange with regard to my hiring (appointment) by Company ○○, and I hereby agree that, to this end, the Market Oversight Commission of Korea Exchange provides my personal information to Company ○○ pursuant to Subparagraph 1 under Paragraph 1 of Article 17 of the Personal Information Protection Act. Month / Day / Year Agreed by: (Signature)			
<Scope of personal information to be provided> • Purpose of collecting personal information - To be used for confirming the results of request for disciplinary actions by the Market Oversight Commission with regard to the hiring (appointment) by Company ○○ • Items of personal information to be provided. - Name, date of disciplinary action, the financial investment company that the subject belonged to at the time of disciplinary action, the type of disciplinary action and the ground regulation for the disciplinary action • Period of use of the personal information - Provide/use personal information until the hiring (appointment) process by Company ○○ is completed • Refusal of agreement to release personal information - One can refuse to agree to the release of personal information with regard to the request for confirmation of any relevant disciplinary action by Company ○○, in which case Korea Exchange will not provide the disciplinary record based on the request of confirmation of disciplinary record by Company ○○.			

[Annex: Form No. 15-7] Written Notification of Disciplinary Record

[June 26, 2014]

Written Notification of Disciplinary Record

To the Representative Director of Company ○○	
Name	
Date of Disciplinary Action*	Month / Day / Year
Financial Investment Company the Subject belonged to at the Time of Disciplinary Action	Company ○○
Type of Disciplinary Action	
Ground Regulation for the Disciplinary Action	
I provide this notification of the disciplinary record as above based on Paragraph 2 of Article 26 of the Enforcement Rules of Market Oversight Regulation. Month / Day / Year Chairperson of the Market Oversight Commission of Korea Exchange	

* Cases with a certain period elapsing from the date of disciplinary action [Dismissal: 10 years; suspension (suspension of duties): 5 years; salary reduction/reprimand: 3 years; warning/caution: 2 years] may be excluded from notification.

[Annex: Form No. 16] Notice of Imposition of Summary Fine

(Amended on February 3, 2009; September 14, 2021; June 15, 2022; January 30, 2024; May 15, 2025)

Notice of Imposition of Summary Fine

1. Relevant member: xxx Securities Company

2. Amount: KRW

3. Payment due date: Month / Day/ Year

4. Payment method:

- Deposit method: Deposit the payment into the account of the Korea Exchange
- Account number: xxx Bank, 000-00-000000
- Name of account holder: The Korea Exchange
- Others: Deposit of cash or cashier's checks (excluding the current account checks) that can be cashed on the same day

5. Legal ground for imposition: The provisions of [§28] of the Market Oversight Regulation and [§29] of the Enforcement Rules thereof.

6. Others

a. Additional charge: In the case where a member fails to pay summary fine by the due date, the Commission shall collect a surcharge calculated by applying 6/100 per annum to the unpaid member fine amount from the day following the due date to the date before the date of payment, except in cases where disciplinary action, etc. is taken pursuant to subparagraph b.

b. Proceeding with disciplinary procedures, etc.: If a member expresses an intention not to pay summary fines or fails to pay summary fines by the due date without any special reason, the Commission may proceed with disciplinary procedures, etc. in accordance with [§28(2)] of the Market Oversight Regulation.

Month / Day / Year

Chairperson of the Market Oversight Commission of Korea Exchange

[Annex: Form No. 17] Written Request for Consultation

[April 18, 2016]

Written Request for Consultation

To: Chairperson of the Market Oversight Commission, Korea Exchange

Pursuant to [§2-5(1)2] of the Enforcement Rules of Market Oversight Regulation, we hereby request consultations as follows.

Department targeted for consultation		Name of staff in charge	
Items for consultation ¹⁾			
Requested consultation period ²⁾			
Consultation methods ³⁾			

Month / Day / Year

Company Name:

Name/Seal of Representative Director (CEO):

Notes:

1. Please state the matters in need of consultation; a detailed account and documents for reference may be attached.
2. Please state the possible period for consultation from start to end dates; it may be omitted.
3. Please select the consultation methods from consultation in writing, on-site consultation, or consultation conducted at a separate designated venue (multiple methods may be chosen); it may be changed later on after discussion with the Market Oversight Commission.

[Annex: Form No. 18] Written Request for Prevention Training

[May 31, 2016]

Written Request for Prevention Training

To: Chairperson of the Market Oversight Commission, Korea Exchange

Pursuant to [§2-9(2)] of the Enforcement Rules of Market Oversight Regulation, we hereby request prevention training as follows.

Department requesting for training		Name of staff in charge	
Contents of the training ¹⁾			
Date of the training ²⁾			
Target participants and expected number			

Month / Day / Year

Name of company:

Name/Seal of Representative Director (CEO):

Notes:

1. Please state the contents of the training (e.g., return of short-swing, undisclosed information, report on share-holdings, etc.).

2. Please specify desired date and time of the training.

[Annex: Form No. 19] Application for Use of Services for Executives/Employees
Registration and Trade Notification

[December 11, 2018]

**Application for Use of Services for Executives/Employees Registration and Trade
Notification**

To the Chairperson of the Market Oversight Commission, Korea Exchange

We hereby apply for the use of the services for the executives/employee registration and trade notification for the executive officers and employees who have agreed with the collection and provision of their personal information and notification of their trades.

- ☐ Contact information of the person in charge of executives/employee registration and trade notification services

	Information to be registered	
Name of corporation		
Address		
Contact information	Department/Title	
	Name	
	Phone No.	
	Email	

- ☐ We confirm that the individual consent was obtained from the executive officer and/or employee who are registered with respect to the collection and provision of personal information for the use of this service. (☐ Yes, we obtained individual consent)
- ☐ We confirm whether we agree that the Exchange refers to and/or publishes the name of the corporation which has applied for this service on the Exchange's website or press release, if necessary. (☐ Yes / ☐ No)

Month / Day / Year:

Name of company:

Name/Seal of representative director:

Note: For any inquiries regarding the entry of this application, please contact the Investor Protection Department of Korea Exchange.

[Annex 1] Guidelines for Imposition of Member Fine

(Amended on September 14, 2021; November 23, 2022; June 7, 2023; October 15, 2024)

Guidelines for the Imposition of Member Fines

1. Methods of determining the amount of fines

- a. To establish the range of fine amounts based on the significance of the causes and results of violations, etc.; and
- b. To calculate the final fine amount by taking into account aggravating or mitigating factors.

2. Setting the range of fine amounts

a. Assessment of the severity of the causes of violations

(i) Factors in assessing the severity of the causes

- (a) Whether the executive officers and department heads are involved and the degree of their involvement, and the number of employees involved;
- (b) The extent of awareness of violations;
- (c) Whether there is a violation through the member's proprietary account;
- (d) The appropriateness of the internal control system to prevent violations including measures by members subsequent to their monitoring activities; and
- (e) Whether the violation is repeated, etc.

(ii) The severity of a cause is divided into three levels: high, medium, and low. In this case, the final stage of the severity is determined by comprehensively considering the stages of each assessment factor categorized in the table below.

	Assessment Factors
High	▪ Case where an officer or department head is the main violator or instigator, or multiple employees participate or conspire ▪ Case where an officer or department head has the intention to commit a violation or fails to recognize the violation due to gross negligence ▪ Case where the violation is committed for the purpose of generating trading profits (including avoided losses) through a proprietary account

	▪ Case where the violation continues even though the it could have been readily recognized due to the prior notice of inspection, the request for preventive measures, or repeated detection of violations by the member's monitoring system, or where the violation continues due to the absence or insufficiency of the internal control system
Medium	▪ Case where an officer or department head was able to recognize the violation through a report, public notice, etc. ▪ Case where the violation is committed in relation with trades through the member's proprietary account ▪ Case where the member neglects to take action despite the violations detected by the member's monitoring system, or where the violation occurs due to an insufficient internal control system
Low	▪ Case where the violation does not fall under the "High" or "Medium" level above

b. Assessment of the severity of the results of violations

(i) Factors for assessing the severity of the results

(a) Scale of violations in terms of the number, quantity, and amount

(b) The extent of financial damage to investors or customers

(c) Social and market impacts due to violations

(d) Size of the profit gained or the loss avoided as a result of the violations

(ii) The severity of the results is divided into five levels: very high, high, medium, low, and very low. In this case, the final stage of the severity is determined by comprehensively considering the stages of each assessment factor categorized in the table below.

	Assessment Factors
Very high	▪ Case where the number, quantity, amount, etc. of violations are very large ▪ Case where there are two or more assessment factors falling in the "High" level
High	▪ Case where the number, quantity, amount, etc. of violations are large ▪ Case where the amount of loss suffered by investors or customers due to violations is large ▪ Case where the social impact or market impact due to the violation is serious ▪ Case where the profit gained or the loss avoided as a result of the violations is large

Medium	▪ Case where the number, quantity, amount, etc. of violations are normal ▪ Case where the amount of loss suffered by investors or customers due to violations is normal ▪ Case where the social impact or market impact due to the violation is normal ▪ Case where the profit gained or the loss avoided as a result of the violation is normal
Low	▪ Case where the number, quantity, amount, etc. of violations are small ▪ Case where the amount of loss suffered by investors or customers due to violations is small ▪ Case where the social impact or market impact due to the violation is small ▪ Case where the profit gained or the loss avoided as a result of the violation is small
Very low	▪ Case where the number, quantity, amount, etc. of violations are very small ▪ Case where there are two or more assessment factors falling in “Low” level

c. Setting the range of member fines

(i) For actions that undermine fair trading order or damage public confidence in the market

Severity of Cause Severity of Result	High	Moderate	Low
Very high	At least KRW 800 million	At least KRW 600 million, but not exceeding KRW 800 million	At least KRW 400 million, but not exceeding KRW 600 million
High	At least KRW 600 million, but not exceeding KRW 800 million	At least KRW 400 million, but not exceeding KRW 600 million	At least KRW 200 million, but not exceeding KRW 400 million
Moderate	At least KRW 400 million, but not exceeding KRW 600 million	At least KRW 200 million, but not exceeding KRW 400 million	At least KRW 100 million, but not exceeding KRW 200 million
Low	At least KRW 200 million, but not exceeding KRW 400 million	At least KRW 100 million, but not exceeding KRW 200 million	At least KRW 50 million, but not exceeding KRW 100 million
Very low	At least KRW 100 million, but not exceeding KRW 200 million	At least KRW 50 million, but not exceeding KRW 100 million	Not exceeding KRW 50 million

(ii) For actions that impede the investigation or inspection activities

Severity of Cause	High	Moderate	Low
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Significance of Result			
High	At least KRW 100 million, but not exceeding KRW 300 million	At least KRW 70 million, but not exceeding KRW 100 million	At least KRW 40 million, but not exceeding KRW 70 million
Moderate	At least KRW 70 million, but not exceeding KRW 100 million	At least KRW 40 million, but not exceeding KRW 70 million	At least KRW 20 million, but not exceeding KRW 40 million
Low	At least KRW 40 million, but not exceeding KRW 70 million	At least KRW 20 million, but not exceeding KRW 40 million	Not exceeding KRW 20 million

(iii) In the case of imposing an aggravated member fine under Article 22(1)3 of the Regulation pursuant to [§15], the fine amount shall be set at the lower limit of the applicable range.

(iv) In the case of imposing a mitigated member fine under Article 22(1)1-3 of the Regulation pursuant to [§16], the fine amount shall be the upper limit of the applicable range.

(v) In the case where the act that undermines fair trading order or damages public confidence in the market (excluding the acts that violate the business regulations of the Exchange related to Article 180 of the Act) is clearly caused by a simple mistake, the fine amount shall be set at either the lower limit of the applicable range in the table in i) above or an amount within the range of KRW 50 million to less than KRW 100 million. In this case, factors for assessing the severity of the cause and consequences of the violation may be considered.

3. Aggravation and mitigation

- a. The aggravation or mitigation of a member fine pursuant to [§17, subparagraph 2] shall be made by raising or lowering the applicable range by one level. Provided that, if there is a voluntary report noted in [§16(3)], the range may be adjusted upward or downward by one level.
- b. The applicable disciplinary measures in cases where the upper limit of the fine range is subject to aggravation or the lower limit is subject to mitigation shall be as follows:
 - (i) In the case of aggravation: Disciplinary action under [§22(1)1-3] of the Regulation; and
 - (ii) In the case of mitigation: Disciplinary action under [§22(1)3] of the Regulation.
- c. Increase or reduction of the member fine amount

The member fine amount may be increased or reduced within the fine range

considering following factors:

- (i) Manners or attitudes of the relevant member (the acceptance or denial of responsibility, attempts to conceal the violation, etc.);
- (ii) Whether a member voluntarily implements corrective or disciplinary measures, preventive measures, and internal censorship or control processes; and
- (iii) Willingness to cooperate in the investigation and inspection, compliance with the request for documents or attendance, the extent of delay caused in the investigation or inspection.

4. Reduction of or exemption from member fine, etc.

- a. If a member, who has already been sanctioned in the form of a penalty surcharge from the Financial Services Commission for the same violation, reports the fact that the member has been sanctioned by the Financial Services Commission within 5 days from the date of receiving the prior notice pursuant to [§26] of the Regulation, the member fine based on this standard may be reduced or exempted in consideration of the amount of penalty surcharge.
- b. If a member, who paid a member fine in accordance with the measure of member fine imposition by the Commission, report to the Commission the fact that the member has been sanctioned against the same violation in the form of a penalty surcharge by the Financial Services Commission within 30 days from the date of payment of the penalty surcharge, part or all of the member fine may be refunded to the member in consideration of the amount of penalty surcharge.
- c. If a member fine is imposed for each of the multiple violations of a member pursuant to [§15-2(2)], the total member fine shall not exceed the maximum amount noted in [§22(1)2] of the Regulation

5. Refund of mistaken payment of member fines

- a. In cases where the member on whom a fine has been imposed under [§22(1)2] of the Regulation requests a refund of a mistakenly paid fine by citing a formal objection pursuant to [§27] of the Regulation or re-deliberation under the Commission's authority pursuant to [§27-2] of the Regulation, the Commission shall refund the relevant fine without delay.
- b. [Deleted on January 29, 2026]
- d. When refunding a mistakenly paid fine pursuant to item a., the Commission shall include refund interest, calculated by applying the interest rate specified in Article 383-2 of the Enforcement Decree of the Act for the period from the date of payment to the date of refund.

[Annex 1-2] Report on Short Sale Examination Result

(Established on March 12, 2021)

Report on Short Sale Examination Result

1. Examination Result for Transactions that are feared to be Insufficient Settlement Quantity (relating to [§19-2(1)1 and §19-2(2)] of the Regulation)

1	Member	14	Selling Quantity
2	Account No.	15	Insufficient Settlement Quantity on the Settlement Day
3	Registration No. ¹⁾	16	Insufficient Settlement Amount on the Settlement Day
4	Name of Customer	17	Reason(s) for Insufficient Settlement Quantity
5	Type of Investor	18	Customer's Compliance with Short Sale Regulation
6	Market	19	Settlement Method for Insufficient Settlement Quantity
7	Security Name	20	Delivery Date for Insufficient Settlement Quantity of Customer
8	Security Code	21	Date of Preparation
9	Name of Depository Institution	22	Person who prepared the report
10	Date of Transaction(s)	23	Verification of Compliance
11	Verification Method for Insufficient Quantity on the Settlement Day	24	Note (Causes, etc.)
12	Whether the customer has been required to submit related documents or not	25	Other Matters
13	Whether the related documents have been received from the customer or not		

2. Examination Result for Selling and Repurchasing Transactions on Same Day
(relating to [§19-2(1)2 and §19-2(2)] of the Regulation)

1	Member	13	Whether the related documents have been received from the customer or not	
2	Branch	14	Selling Quantity	Total Selling Quantity
3	Account No.	15		Other Selling Quantity
4	Registration No. ¹⁾	16	Buying Quantity	
5	Name of Customer	17	Remaining Purchase	Net Buying Quantity from T-10 day to T-1 day
6	Type of Investor	18	Balance	Selling Quantity on T day
7	Market	19	Short Sale	Y/N
8	Security Name	20	Violation	Reasons for Decision
9	Security Code	21	Whether an action was taken or not	
10	Whether an investment alert/caution issued or not	22	Date of Preparation	
11	Date of Transaction(s)	23	Person who prepared the report	
12	Whether the customer has been required to submit related documents or not	24	Other Matters	

1) Business registration number for Koreans and alien registration number for foreigners

[Annex 2] Guidelines for Imposition of Summary Fine

[November 30, 2006] (Amended on August 27, 2007; June 27, 2008; March 27, 2009; November 27, 2009; May 31, 2010; December 26, 2011; April 10, 2012; November 20, 2015; April 18, 2016; August 11, 2017; September 23, 2019; September 14, 2021; June 15, 2022; May 15, 2025; May 19, 2026)

Guidelines for Imposition of Summary Fine

1. Guidelines for imposing summary fine

(1) Summary fine shall be imposed per illegitimate activity in accordance with [§29(2)] of the Enforcement Rules of Market Oversight Regulation, but in case the same illegitimate activity has occurred over several trading days, the fine shall be imposed per trading date.

(2) In cases where multiple accounts were involved in illegitimate action on the same trading day, the total amount shall be determined by aggregating the summary fines for each account. If the sum exceeds the maximum amount specified in the Regulation, the maximum amount under the Regulation shall be imposed.

(a) Violation of regulations related to reporting of transaction of treasury stocks

Ratio to trading volume Ratio to reported quantity	50% or over	25% or over, but less than 50%	Less than 25%
80/100 or over	100/100 of the maximum amount stated in the Regulation	75/100 of the maximum amount stated in the Regulation	50/100 of the maximum amount stated in the Regulation
50/100 or over, but less than 80/100	75/100 of the maximum amount stated in the Regulation	50/100 of the maximum amount stated in the Regulation	25/100 of the maximum amount stated in the Regulation
Less than 50/100	50/100 of the maximum amount stated in the Regulation	25/100 of the maximum amount stated in the Regulation	10/100 of the maximum amount stated in the Regulation. However, it shall be 0/100, if the quantity in violation is less than 1,000 shares.

Notes:

1. Ratio to trading volume shall be determined by multiplying 100 to the amount calculated by dividing the amount in violation by total trading volume of the day.
2. Ratio to reported quantity shall be determined by multiplying 100 to the amount calculated by dividing the amount in violation by the reported quantity.
3. The ratio shall be calculated each for the common shares and other type of shares.

(b) [Deleted on September 23, 2019]

(c) Violation of regulations relating to indication of quotations for program trading

Amount of violation in relation to underlying stocks of KOSPI indices is KRW30 billion or more	Amount of violation in relation to underlying stocks of KOSPI indices is KRW 20 billion or more, but less than KRW 30 billion	Amount of violation in relation to underlying stocks of KOSPI indices is KRW 10 billion or more, but less than KRW 20 billion
Amount of violation in relation to underlying stocks of KOSDAQ indices is KRW 4.5 billion or more	Amount of violation in relation to underlying stocks of KOSDAQ indices is KRW 3 billion or more, but less than KRW 4.5 billion	Amount of violation in relation to underlying stocks of KOSDAQ indices is KRW 1.5 billion or more, but less than KRW 3 billion
75/100 of the maximum amount under the Regulation	50/100 of the maximum amount under the Regulation	25/100 of the maximum amount under the Regulation

(d) Violation of quantity limit of open interests

(i) Basic imposition amount: KRW 100,000

(ii) Additional imposition: KRW 10,000 per contract exceeding the position limit

Notes:

1. The highest quantity exceeding the position limit on the relevant trading day shall be used as the quantity exceeding the position limit,
2. With regard to number of violations, even though the position limit has been violated several times in the same trading day, it shall be counted as one (1) violation.
3. In cases where a trade that causes an increase of net open interests was conducted before disposing of the excess quantity of open interests after the first violation of position limit, the fine shall separately be imposed by working out the number of violations per trading day.

(e) Violation of limitation of accumulated quotation quantity

(i) Basic penalty amount: KRW 100,000 for an account that exceeds the accumulated quotation quantity limit

(ii) Additional penalty amount: KRW 10,000 for each converted quantity that exceeds the accumulated quotation quantity limit (to be rounded down below the decimal point)

Notes:

1. Maximum violation quantity within the relevant trading day shall apply.
2. Even in the case where violations have been committed repeatedly within a same trading day, the number of violations shall only be counted as once.
3. In cases where the violations have occurred respectively in the trades related to KOSPI 200 futures / KOSPI 200 spread / KOSPI 200 options and the trades related to Mini KOSPI 200 futures / Mini KOSPI 200 spread / Mini KOSPI 200 options from a same account, the summary fines calculated for each trade shall be accumulated; however, in cases where the added sum exceeds the maximum amount specified in the Regulation, such maximum amount shall be imposed.
4. The "converted quantity" refers to the quantity calculated according to the methods noted in item (b) under subparagraph 2 of [Annex 17-2] of the Enforcement Rules of the Derivatives Market Business Regulation by taking into account the options deltas.

(f) Other unlawful activities subject to summary fine

Taking into account the nature, frequency and gravity of unlawful action and the voluntary efforts of the relevant member, it shall be the amount within the maximum amount specified in the Regulation, which is determined by the Chairperson of the Commission.

2. Reduction of or Exemption from Summary Fine

Where it falls under any of the following items, the summary fine may be reduced or exempted:

- (a) Where the unlawful action has occurred because of an unavoidable circumstance such as the system failure;
- (b) Where it has been acknowledged that the preventative efforts such as the voluntary correction or the measure against the relevant officer or employee was made;
- (c) Where the member is not responsible for the noncompliance with the reporting obligation; and
- (d) Additionally, where the Chairperson of Commission deems imposition of summary fines inappropriate.